Value Research

Wealth Insight

September 2026 ₹150

The Smart Investor's Stock Guide

Value Research
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The Smart Investor's Stock Guide

10 Growth Stocks that Compound

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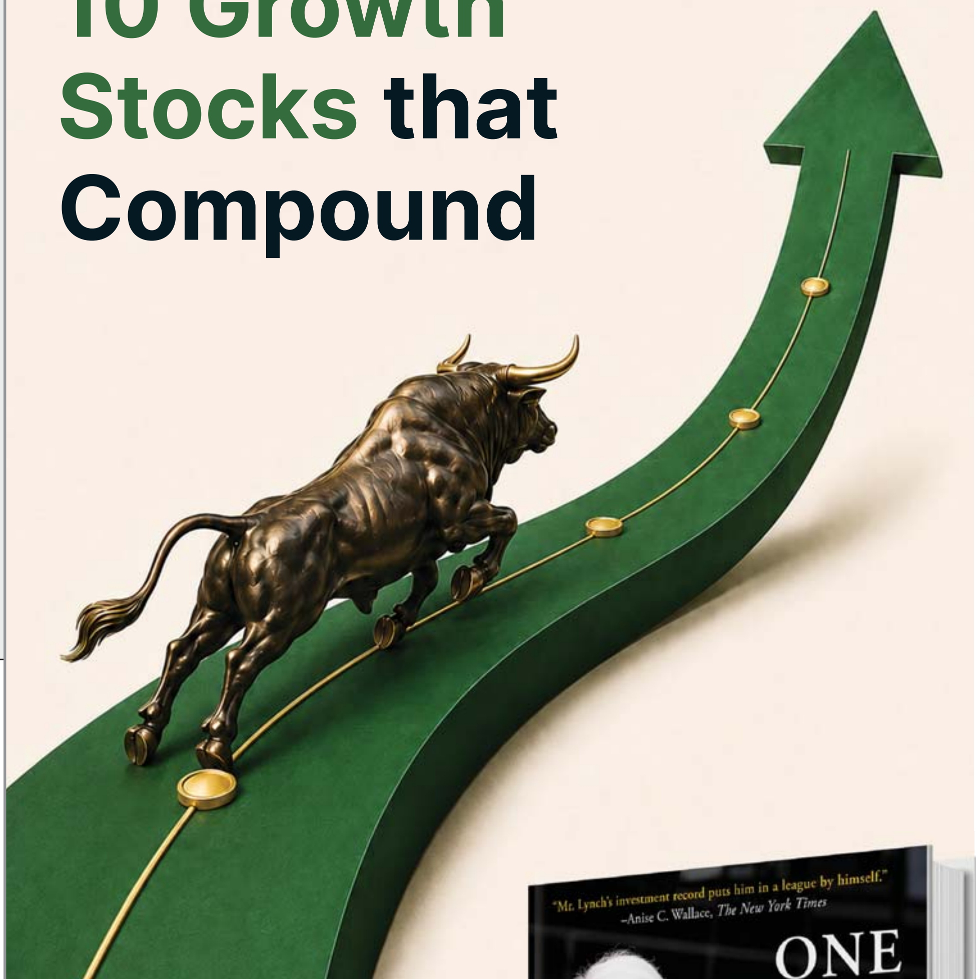
EDITORIAL POLICY

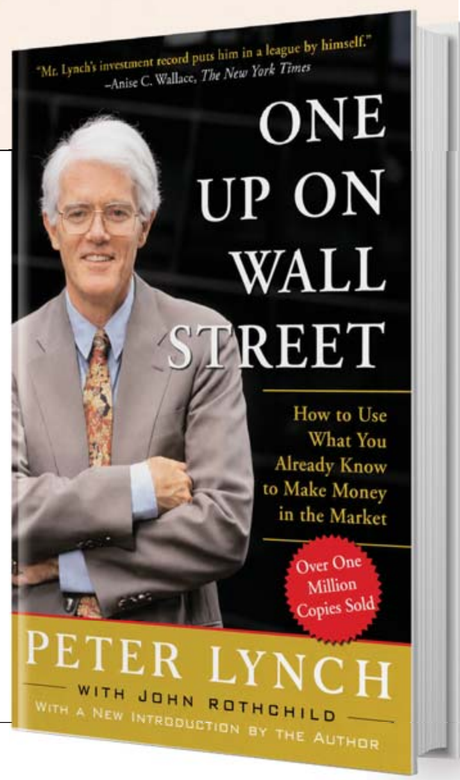
The goal of Wealth Insight, as with all publications from Value Research, is not just limited to generating profitable ideas for its readers, but to also help them in generating a few of their own. We aim to bring independent, unbiased and meticulously-researched stories that will help you in taking better-informed investment decisions, encouraging you to indulge in a bit of research on your own as well.

All our stories are backed by quantitative data. To this, we add rigorous qualitative research obtained by speaking to a wide variety of stakeholders. We firmly stick to our belief of fundamental research and value-oriented approach as the best way to earn wealth in the stock market. Equally important to us is our unwaveringly focus on long-term planning.

Simplicity is the hallmark of our style. Our writing style is simple and so is the presentation of ideas, but that should not be construed to mean that we oversimplify.

Read, learn and earn and let's grow and evolve as we undertake this voyage together.





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FIRST PAGE

By Dhirendra Kumar

Growth that goes nowhere

Why every growing company isn't making its shareholders richer

In any workplace, there is a hyperbusy person who gets nothing done. We've all met this person, and some of us might even be them! They are always busy; their days are always full; they go to a lot of meetings and as time passes, they get busier and busier. However, when it comes to actual accomplishments (projects delivered, goals achieved), the list is always short. Such people are always in motion but not getting anywhere.

What is interesting today is that this isn't true only of people, but also of many companies. I'm not talking about businesses that fake success for IPOs, etc but those that are genuine. These are the ones that really grow revenues and profits rapidly but, paradoxically, bring no great benefit to shareholders in terms of actual money made. To fund all that growth, the company holds back money that might otherwise reach the owners. If the returns generated by the funds deployed within the company are less than what the owners might have gotten elsewhere, then that growth does not make anyone richer.

So what I'm describing here is high growth in a business which is useless for investors. This will sound strange to most of you. The entire world of business and investing worships growth, and yet here I am trying to convince you that growth can be bad. Your instinct is correct: most of the time, on average, companies that grow faster are the winners and their shareholders make lots of money. However, this general trend conceals many exceptions. Within the set of fast growers, many companies grow just as fast but deliver poor returns for shareholders.

Some companies grow revenues and profits but not provide any benefit to shareholders in terms of actual money made. To fund all that growth, the company holds back money that might otherwise reach the owners.

The single number that growth-obsessed investors focus on, the headline growth rate, cannot be used to distinguish between these two types of companies. What separates the two types of businesses is not how fast they grow but what it costs to generate that growth. A business that can add a rupee of profit by spending 50 paise more will make its shareholders richer, but the one which needs to spend 90 paise to add a rupee of profit is just round-tripping money through its books without creating any wealth.

Over the years, a constant underlying theme in my writing has been that bad investments that have some characteristics of good ones are far more dangerous than outright bad ones. High-growth companies that don't generate returns for shareholders are a particularly severe case of this problem because growth is such a strong signal of a good business, and it makes for dramatic, attention-grabbing headlines. In contrast, the return that a company earns on capital is a dull detail that will be buried somewhere deep and will have to be dug out by a determined analyst.

As we've seen earlier, good investors think of growth and value as two sides of the same coin, not opposing philosophies. Growth adds to a business's intrinsic value only when it exceeds a certain level of capital efficiency. This sounds like an academic or a PowerPoint kind of an idea until you realise how much money has been wasted (or even lost) by ignoring it.

I'm not making a point against growth investing. Growth investing works, and most of the time it works well. My point is that looking at a single number and thinking that you have a case for investing is a mistake that growth investors are more prone to. High growth becomes a mental shortcut that bypasses the work of observing and understanding what is going on in a business.

This month's cover story is about distinguishing the two kinds of growth: the one which will make money for you versus the one which just keeps a company occupied with more and more activity that does nothing for you. It's not something talked about often, and I'm sure it will be useful for all our readers.

STOCK STORY

The chronic advantage

How betting on lifelong patients built Torrent Pharma

Torrent Pharmaceuticals built one of the widest operating margins among large Indian drugmakers on a single insight about patients, not products. A chronic patient refills the same prescription every month for life. An acute patient stops the day the infection clears. One is a sale, the other an annuity. Torrent chose the annuity.

The therapy nobody wanted

Founder U N Mehta sold drugs before he made them, as a medical representative at Sandoz. In 1959, he set up Trinity Laboratories in Ahmedabad, later renamed Torrent. By the late 1960s, he had settled on psychiatric and cardiac ailments, drugs families rarely discussed and manufacturers saw no market in. Mehta saw the decades of refills a chronic prescription brought.

Winning by doing less

By the mid-1990s, Torrent had diagnostics, trading businesses and over 140 molecules, most going nowhere. In 1997, it sold the non-pharma businesses and cut the molecules to 58, and split the sales force by therapy, so a representative calling only on cardiologists built real clinical relationships.

In 2001, Torrent stopped selling unbranded generics, where price is the only lever that matters. In branded generics, the doctor writes a name, and the barrier is trust, not price. Acute therapies were then about 70 per cent of the Indian market, and Torrent walked away from most of it. Chronic and sub-chronic therapies are now roughly three quarters of its India business, against about half for the market. Revenue per representative has

Aprajita Anushree/AI-generated image

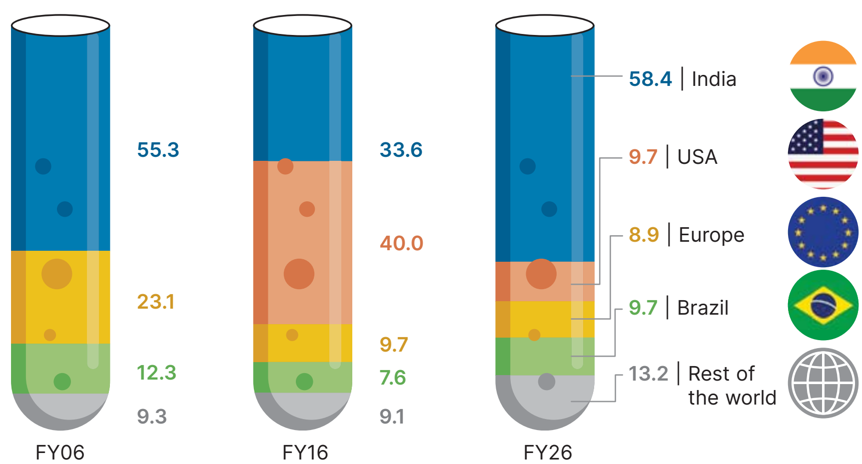
The buying spree

Each acquisition expanded Torrent's therapeutic reach

	2014	2017	2022	2026
	Elder Pharma	Unichem	Curatio	JB Pharma
Consideration (₹ cr)	2,004	3,600	2,000	12,537
Valuation (price-to-sales)	5x	4x	7x	7x
Category	Nutraceuticals, women's health, pain management	Cardiology, diabetology, gastroenterology, CNS (plus OTC)	Dermatology and paediatrics	Cardiology, gastroenterology, ophthalmology (plus CDMO)

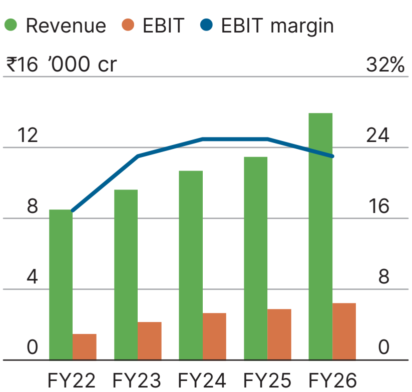
India dominates the revenue pie

From US-led growth back to India, Torrent has come full circle

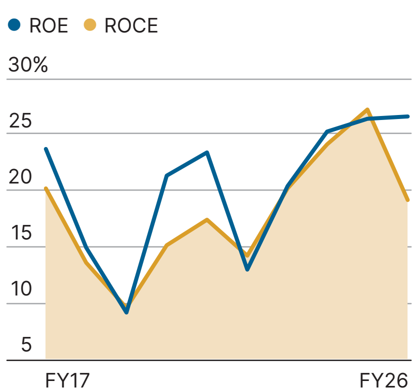


The US was not reported as a separate geographical segment in FY06

Dose of growth



Return check-up



risen from ₹8 lakh a month in FY21 to over ₹11 lakh.

The reckoning

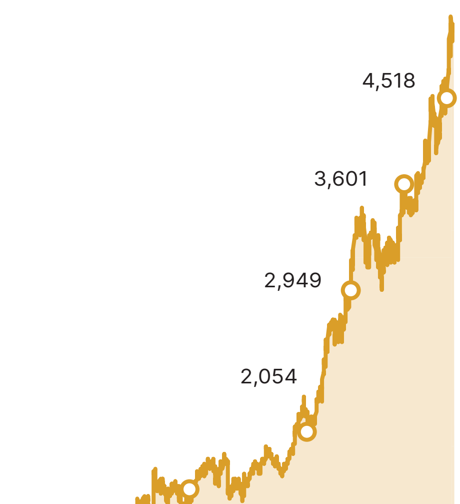
America tested the model. By FY16, the US was nearly 40 per cent of sales, aided by an early, uncontested antipsychotic generic launch. Then three buying groups came to control the retail channel and bought on price alone. Torrent wrote off ₹217 crore on its American plant and ₹140 crore on recalls. Four decades of relationships meant nothing to a purchasing desk.

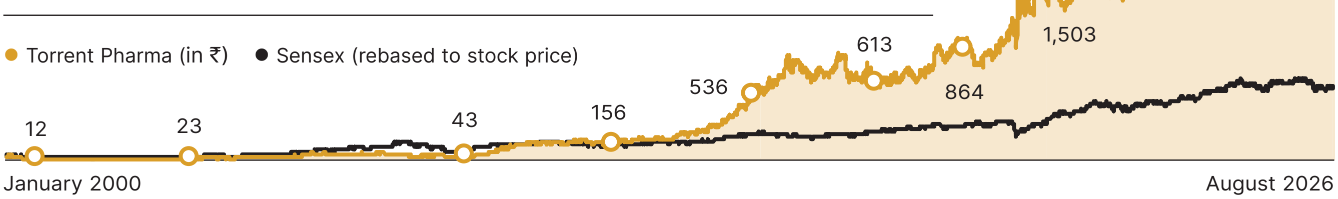
Bigger, not easier

Torrent turned to buying neglected brands, from Elder, Unichem and Curatio, and handing them to a sales force that knew what to do with them. JB Chemicals, bought from KKR, cost more than every earlier acquisition combined, moving Torrent from seventh place in India to fifth. It was also the first target not sold badly. KKR had run the same playbook for five years, leaving less brand equity to reprice. Borrowings have since risen more than four times and return on capital employed has fallen by about a third. Torrent has always paid down debt, so the open question is pace, not capacity.

Every step of this compounding rested on one belief: a good brand, in the right hands, keeps paying out. The easy kilometres are behind it now. Every further point of return must come from a larger, fully priced capital base. The test ahead is not whether Torrent can fix a broken brand, which it has proved repeatedly. It is whether it can hold the same discipline at the top of the market it showed on the way up. ☑

By Lekisha Katyal





MARKET SNAPSHOT

ECONOMY

Nifty 50 profit growth hits a 10-quarter high

Nifty 50 companies posted 18 per cent year-on-year profit growth in the June quarter, the sharpest pace of growth in 10 quarters. The gains were narrow: five companies made 60 per cent of the incremental profit added during the quarter.

What it means for investors

In the long run, stock prices track earnings. Q1FY27 breaks the trend: Nifty 50 growth had stayed below 10 per cent for eight straight quarters. Financials, metals, oil and gas ex-OMCs, tech and telecom led the gains; autos, chemicals, textiles and real estate grew well, too. OMCs were the drag, swinging to a loss as crude prices rose.

MARKETS

Tata Steel bets ₹33,873 crore on steel demand

Tata Steel's board approved a ₹33,873 crore project to expand steel capacity at its Odisha subsidiary NINL by 4.8 million tonnes a year, taking the plant towards long products such as rebar and wire rod used in construction and infrastructure.

What it means for investors

Tata Steel is doubling down on India, where demand from infrastructure, construction and autos justifies a large, multi-year bet on new domestic capacity. The project costs more than its entire FY27 capital budget of ₹20,000 crore, so the spending will be spread over several years. This is only the first phase, with more NINL growth planned later.

POLICY

Cabinet backs a ₹84,084 crore 'Samudra Manthan' plan

The Union Cabinet approved 'Samudra Manthan', a ₹84,084 crore offshore exploration scheme to be implemented through FY31. It also funds seismic surveys, 60 deepwater wells and shared offshore infrastructure hubs.

What it means for investors

India imports most of the oil it uses, and the scheme aims to change that by finding more offshore reserves. The money spreads across drillers, oilfield-services and engineering firms. ONGC, which holds most of India's own offshore acreage, stands to gain, with drilling funded up to half its cost, capped at around ₹650 crore per well.

GLOBAL

China's housing slump grinds into its fourth year

New home prices across 70 Chinese cities fell 3.2 per cent year-on-year in July, the 37th straight month of decline. Sales have fallen every year since 2021, with prices in many cities down more than 40 per cent from their peak.

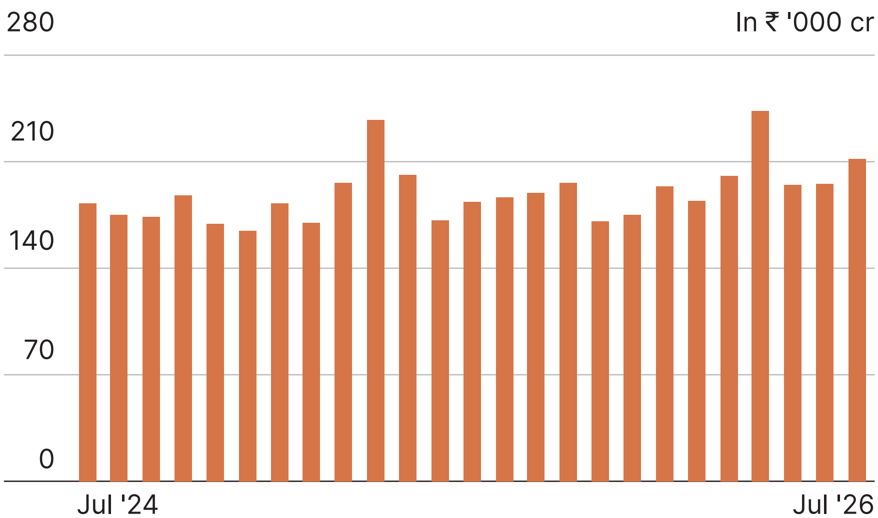
What it means for investors

Chinese families hold most of their wealth in property, so falling prices make them spend less and keep the economy weak. The slide feeds itself: buyers hold back purchases, expecting prices to fall further, deepening the decline. Debt-heavy builders, hit hardest by the sales collapse, have defaulted in large numbers.

Where the economy stands

A monthly check-up on the Indian economy

GST collection

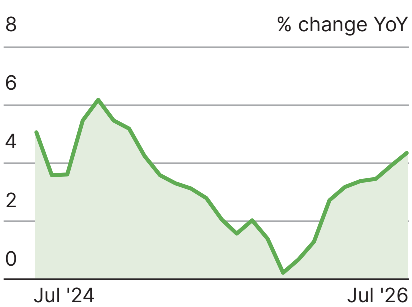


GST collection

₹2.1 lakh cr

has grown 15.4 per cent over July last year, when it stood at ₹1.8 lakh crore

Consumer inflation

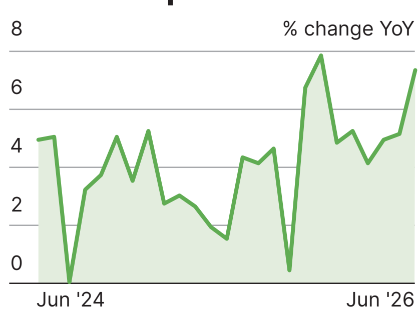


CPI

4.45%

It rose for nine straight months from a low of 0.25% in October 2025

Industrial production

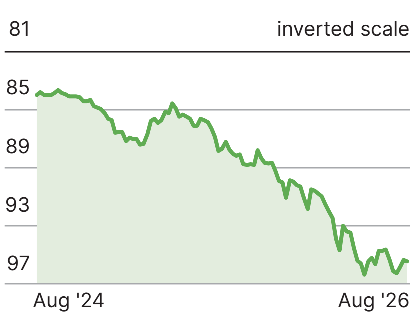


IIP

7.30%

Factory output grew 7.3% in June, extending a recovery from October 2025

INR vs USD

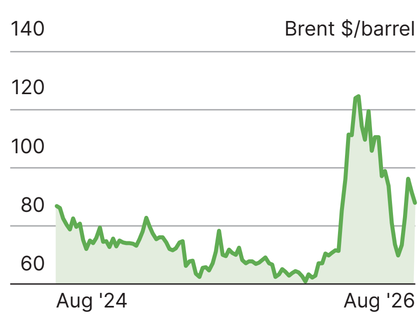


₹ vs $

₹95.4

The rupee has slid 8.9 per cent against the dollar over the past year

Crude oil



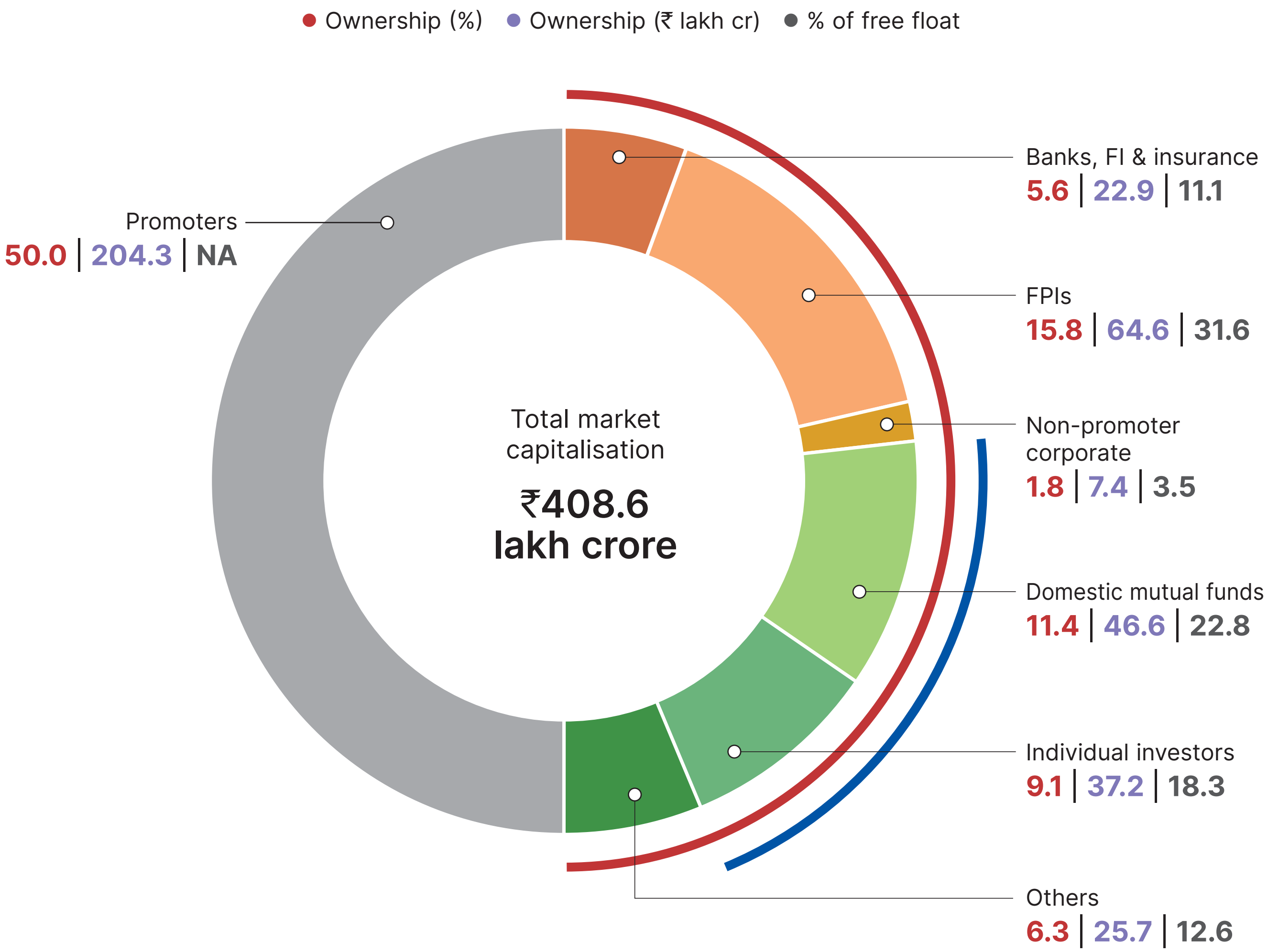
Brent crude

$87.9

Fell sharply through June 2026 then neared $100 again by July end

India Inc's quiet handover to households

Set against a clear figure, this market is worth ₹408.6 lakh crore; foreign portfolio investors hold 15.8 per cent, their lowest share in 17 years. Indian individuals, all direct holdings plus their share of mutual fund assets combined, now hold nearly 20.5 per cent of every NSE-listed company.



The other half

Free float, ₹204.3 lakh crore, is every shareholding that can trade, once promoter stakes are removed. Against that, FPIs hold 31.6 per cent.

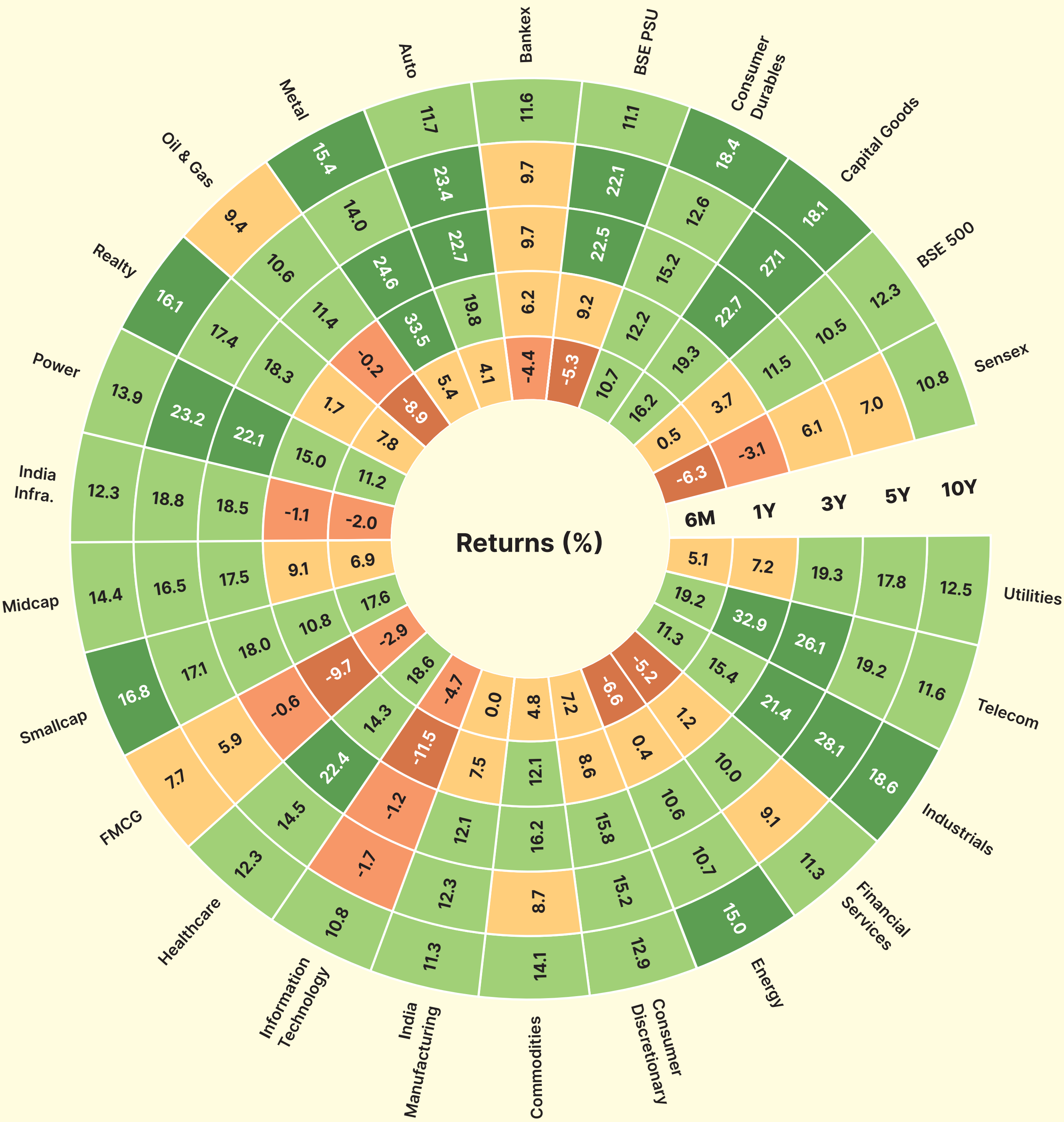
The household block

Domestic mutual funds and individual investors together span 20.5 per cent of the market. Individuals alone own 9.1 per cent of the listed universe.

Source: NSE India Ownership Tracker. Data as of Q4 FY26.

Sector check

Short-term returns across most sectors are turning firmly positive, reflecting a broad-based market recovery following an extended period of price correction

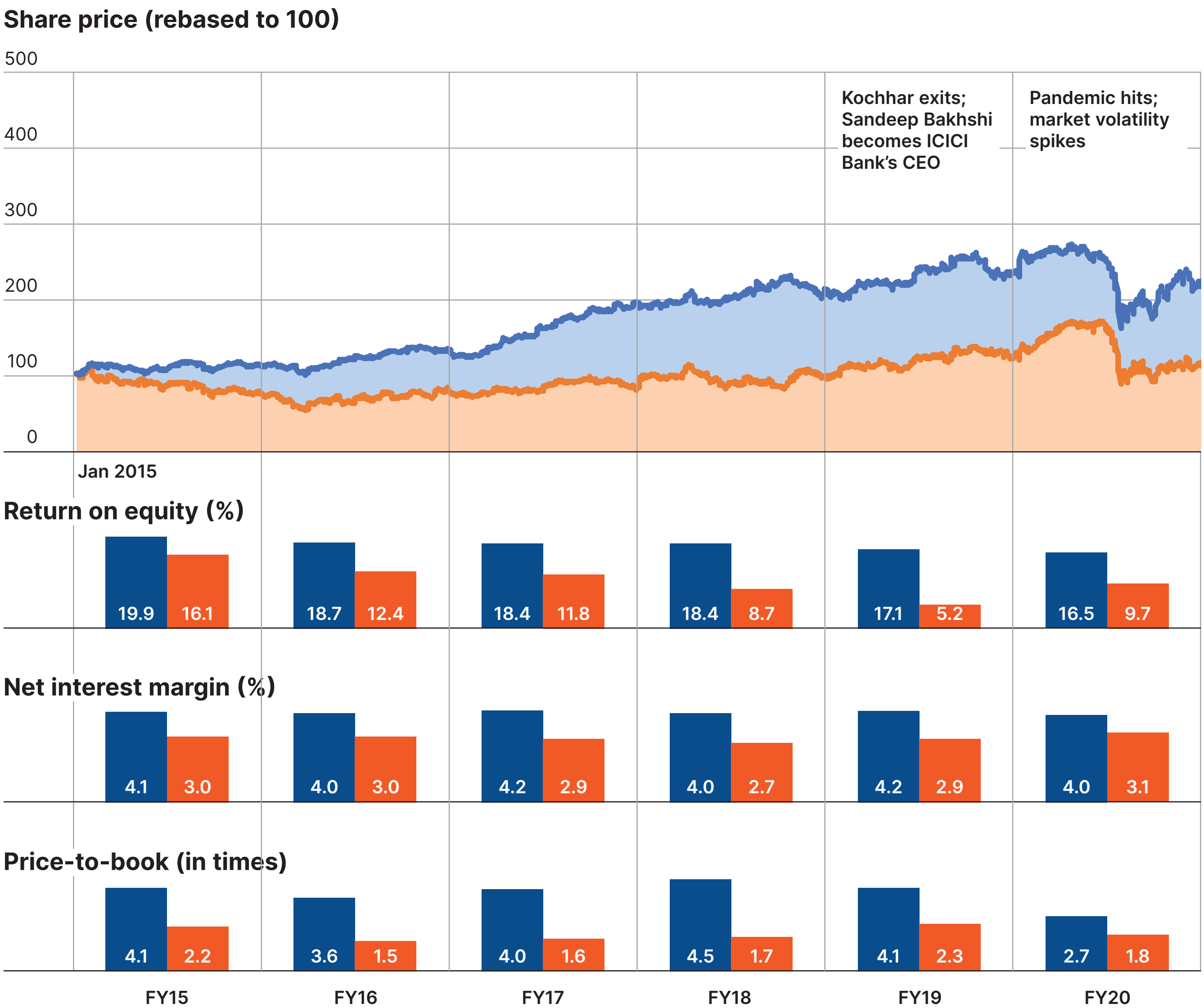


Data as of August 16, 2026 for major BSE indices. Returns for over a year have been annualised.

VIS-A-VIS

ICICI Bank's decade-long climb past HDFC Bank

Ten years, three metrics and the story of how the lead changed hands



In FY16, HDFC Bank's return on equity was 50 per cent above ICICI Bank's. On every measure that matters, HDFC Bank was the better bank, by a wide margin.

A decade later, that gap is gone. ICICI Bank's ROE is higher. Its NIM and P/B ratio are higher.

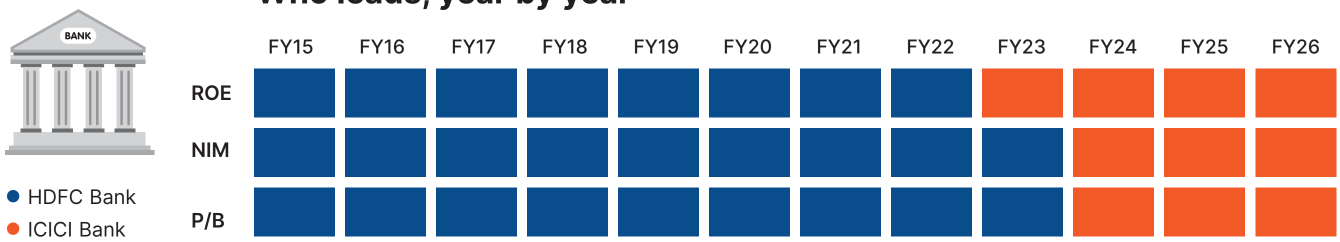
FY16-FY19: The reset

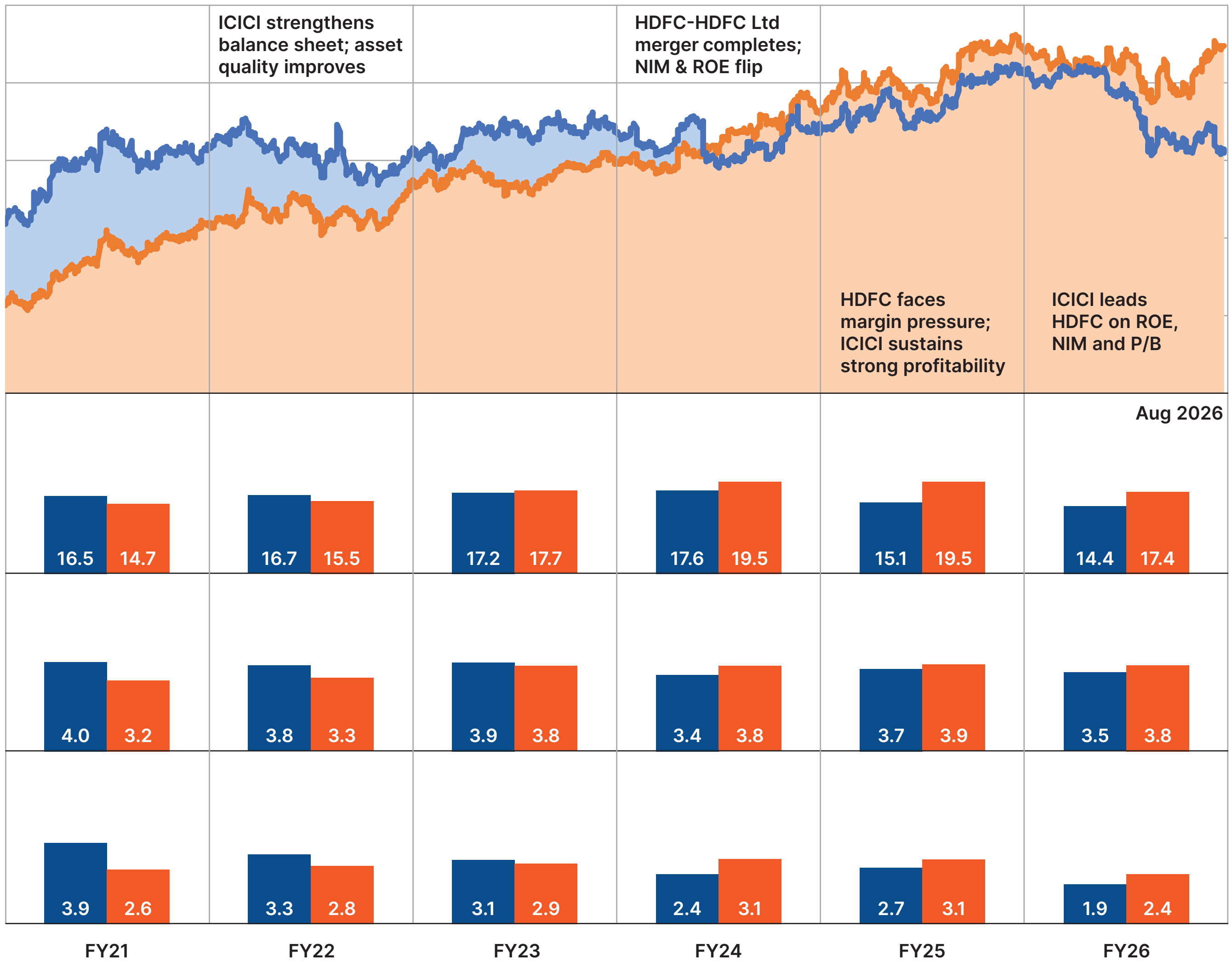
ICICI Bank's ROE fell every year to FY19, as the corporate lending losses that surfaced after the RBI's 2015-16 asset quality review worked through its book. In October 2018, CEO Chanda Kochhar resigned over an alleged conflict of interest involving loans to the Videocon Group. Sandeep Bakhshi inherited the bank at its weakest point.

FY20-FY22: The climb

The pandemic knocked both

Who leads, year by year





banks' valuations down. Both recovered. Underneath the noise, ICICI Bank's ROE and margins climbed, as growth shifted towards retail and SME lending.

FY23-FY24: The crossing

In FY23, ICICI Bank's ROE passed HDFC Bank's. In July 2023, HDFC Bank completed its merger with parent HDFC Ltd, the largest in Indian corporate history. HDFC Ltd's book was low-margin mortgages, and the effect was immediate: NIM fell from 3.9 to 3.4 per cent.

FY25-FY26: The new order

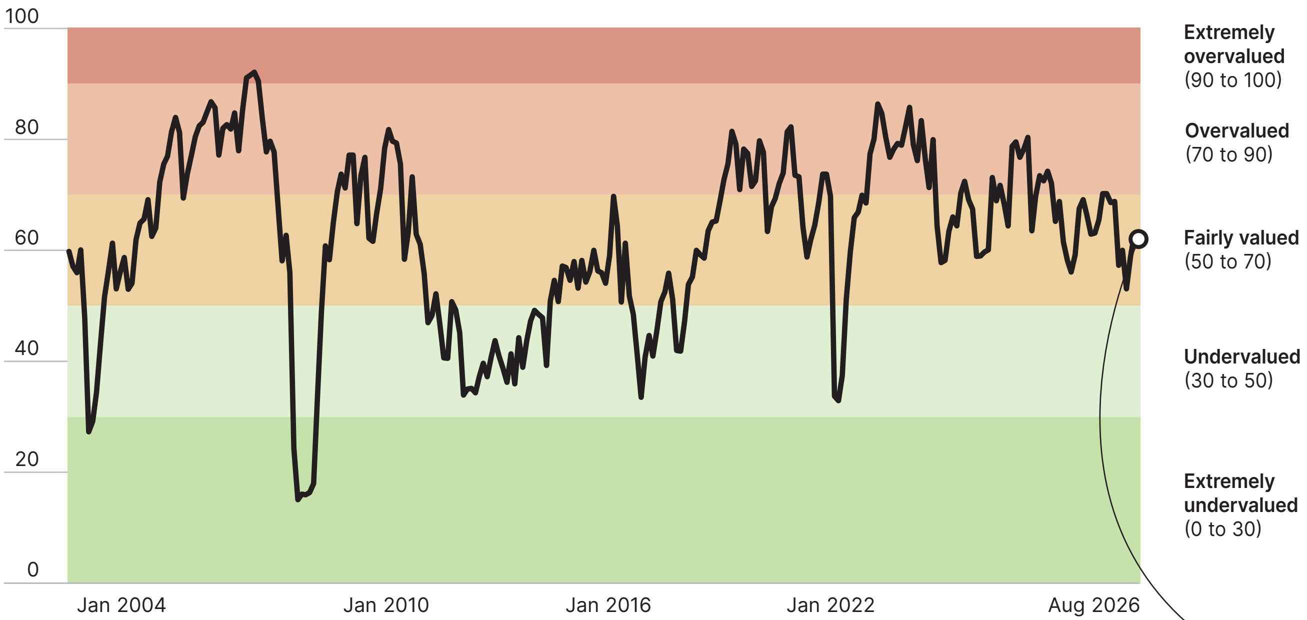
HDFC Bank's ROE fell to 14.4 per cent. ICICI Bank eased its 19.5 per cent peak to 17.4 per cent. In FY16, the market paid 3.6 times book for HDFC Bank and 1.5 times for ICICI Bank, while in FY26, it pays 1.9 and 2.4 times, respectively. ☑

MARKET SNAPSHOT

Temperature check

A clear-eyed look at where the Indian equity market stands today

How market valuations have moved over the years



20.7 P/E ratio

4.2 P/B ratio

1.1% Dividend yield

2.0% 10Y G-sec - equity spread

61.3 Current score

Valuation across key market phases

Month	Sensex	Score	Zone
Apr '06	12,043	83.9	
Dec '07	20,287	92.0	
Nov '08	9,093	15.2	
Feb '12	17,753	50.8	
Feb '14	21,120	39.3	
Jul '15	28,115	69.7	
Jan '18	35,965	81.4	
Apr '20	33,718	33.0	
Mar '21	49,509	84.6	
Jul '23	64,719	60.1	
Sep '24	84,300	74.2	
May '26	74,776	53.1	

All data as of August 16, 2026

Our framework

To assess whether the market is currently cheap, fairly valued or expensive, we draw on four valuation metrics tracked monthly: the Sensex P/E ratio, P/B ratio, dividend yield and the bond-equity spread. The spread is the difference between the 10-year government bond yield and the Sensex earnings yield (inverse of P/E).

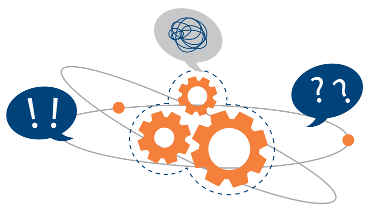
We have maintained a historical record of all four metrics since April 1998. Each month, we take the current reading of each metric and count how many past monthly readings were lower than it. Dividing that count by the total number of past months gives a percentile rank between zero and 100. A rank of 70 means today's reading is higher than 70 per cent of all past readings, indicating the metric is relatively expensive. A rank of 30 means it is cheaper than most of history.

Since a higher dividend yield signals cheaper valuations rather than costlier ones, its percentile rank is subtracted from 100 to align it with the other three metrics. The four percentile ranks are then averaged equally to produce the final score. ☑

MIRAE ASSET
Mutual Fund

Too many choices, not enough answers

Thousands of stocks. Hundreds of mutual funds. Multiple categories, sectors, and themes. For some investors, the sheer range of choices makes the first step genuinely **difficult.** Every option seems to need more research. Every decision feels like it could be the wrong one.



The result is often **inaction** or constant reconsideration. An investor may spend months researching before committing. Or invest, feel uncertain, and switch. The mental load of trying to make the right choice can make investing feel harder than it needs to be.

Passive funds track a defined **index** and do not require an investor to select individual stocks or pick between competing funds. The index determines what goes in and what comes out. The decision, in that sense, is already made.

For investors who find the weight of choosing difficult to manage, a rules-based structure may make the investing journey **simpler** and easier to sustain. The focus shifts from making the right call to staying invested over time.

Passive funds also tend to carry lower expense ratios than actively managed funds. Over time, lower **costs** may support the overall investment. For investors looking for a structured, low-decision approach, passive funds may offer a way to participate in markets without the pressure of constant choices.

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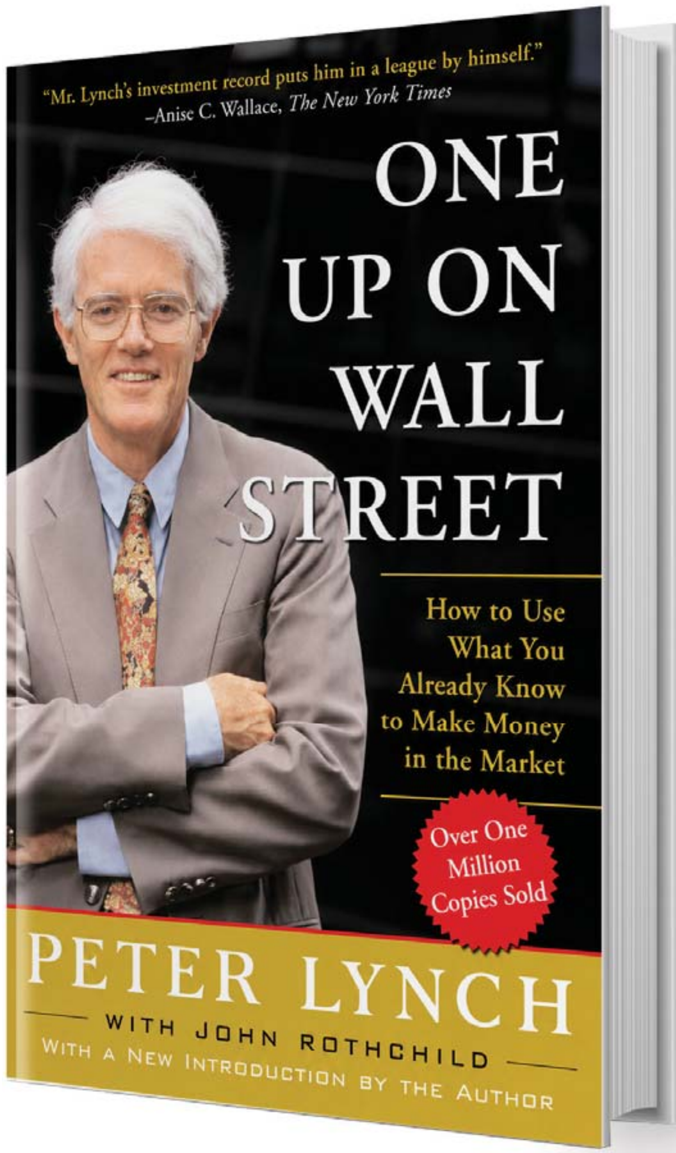
The amateur's edge

Peter Lynch on why everyday life beats Wall Street's research desk

Lynch opens the book by admitting that most of the investors he respects most, Warren Buffett among them, are technophobes who avoid businesses they cannot understand, and he counts himself firmly in that camp too. Few investment books admit failure as openly as this one, though. Lynch writes plainly, early on, that he expects to pick his share of losers too, and that six correct calls out of 10 is enough to produce what he calls an enviable record on Wall Street. That kind of honesty is unusual coming from a fund manager, and it sets the tone for everything that follows. Before any stock-picking advice arrives, Lynch asks readers to pass what he calls a mirror test: Do you own a house, can you afford to lose the money and do you have the patience and humility to sit through a bad year without selling?

Published in 1989, a year after the sharpest single-day market crash in decades, *One Up on Wall Street* was written for readers who had just watched their savings fall and needed a reason to stay invested rather than a reason to panic. Its structure reflects that purpose. Rather than a formula to memorise, it reads like a long, occasionally funny conversation, one that circles back to the same handful of ideas from different angles until they stick.

Nearly four decades on, the companies Lynch profiles have faded from relevance. The reasoning behind how he chose them has not. Four ideas from the book hold up especially well for any investor today.



1 The edge next door

Lynch's central claim is unfashionable even now: professional fund managers, for all their access, often move more slowly than an ordinary person paying attention to their own life. A shopper who notices a certain store always crowded, or an employee who sees demand for a product surge months before it appears in results, is looking at information the market has not priced in yet. Institutions cannot act on a hunch from a mall visit. They need committee approval, sector mandates and analyst coverage before they touch a stock. Individual investors need none of that.

This is not a call to buy whatever you happen to like. Lynch is precise about the difference between noticing a good product and confirming a good business, its growth, its debt, and why the opportunity has been overlooked. But he insists the starting point is real life, not a stock screener. Your profession and neighbourhood are research inputs fund managers cannot access.

2 Not all stocks are equal

Lynch sorted companies into six categories: slow growers, stalwarts, fast growers, cyclicals, turnarounds and asset plays. The categorisation was not academic. It told investors what to expect and when to walk away. A slow grower rewards patience through dividends, not price appreciation, so buying it for growth is a category error. A cyclical looks cheapest exactly when its earnings are about to fall, and expensive before they recover, which is why investors misread it more than any other type. A fast grower can justify a higher multiple, but only while the growth holds. Knowing which box a stock sits in before judging its price prevents most avoidable mistakes.

3 The two-minute test

Lynch's most quoted test is also his simplest: before buying, be able to explain the company's story in two minutes to someone with no financial background. Not the ticker, not the sector, the actual reason the business will be worth more in a few years. If the explanation leans on the stock's recent price movement or a hot narrative, the story fails. The details shift with the category; a turnaround's case rests on the fix itself.

This discipline matters most under pressure, not while a stock is calmly rising. When a stock falls sharply, an investor who can restate the original thesis and honestly check whether it still holds can tell the difference between a temporary setback and a genuinely broken business. An investor who bought on a tip or a chart pattern has nothing to fall back on except hope. The two-minute drill, ultimately, is less about explaining a stock to someone else, and more about forcing yourself to know precisely what you believe, and why.

4 Cutting the wrong plant

Investors who automatically sell their winners and hold onto their losers, a pattern Lynch compares to pulling out the flowers and watering the weeds. Selling everything that doubles is just as flawed as holding everything that falls, since both treat the stock price as the signal, not the business behind it. A rising price alone is not proof you were right. A falling one alone doesn't prove that you were wrong.

Lynch's own rule is to rotate based on the story, not the price. If a company's fundamentals improve while its stock falls, that is a reason to buy more, not less. If fundamentals weaken while the price climbs, that is reason to sell, however good the run looks. He even rotated between several steady stalwarts for modest, repeated gains, arguing that a handful of 30 per cent moves can rival one spectacular winner. A fixed rule like selling at a double would have cost him his biggest winners.

Peter Lynch

Date of birth: January 19, 1944

Peter Lynch ran Fidelity's Magellan Fund from 1977 to 1990, turning it from an obscure $18 million fund into the best-performing mutual fund in the world at the time, with average annual returns close to 29 per cent. He beat the S&P 500 in most of those 13 years, while holding, by his own account, over a thousand stocks at once, a scale that makes his emphasis on ordinary observation over Wall Street access more striking. After stepping back from active management in his mid-40s, Lynch continued writing, including Beating the Street and remains the Vice Chairman of Fidelity Management. ☑

Sakshi/AI-generated image

The feel-good factory

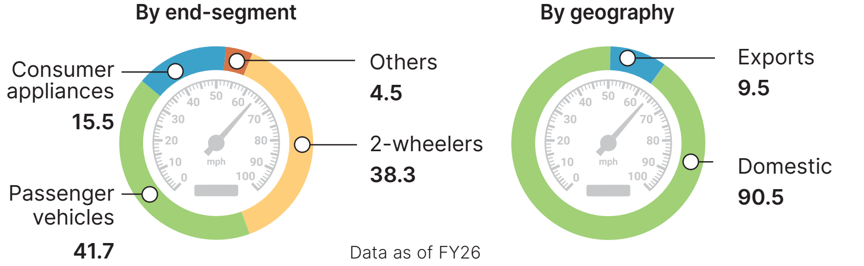
A debt-free business with real pricing power now trades at a multiple that assumes nothing goes wrong

Sit inside a new Creta, a Seltos or a Mahindra XUV700, and run a finger along the dashboard. The speedometer print, the chrome trim on the AC vents, the badge on the steering wheel, the logo that lights up when the door opens: none of it makes the car move faster or use less fuel. All of it makes the car feel like it costs more than it does. That feeling has a name in the industry: premiumisation, the steady climb in how much buyers expect for the same money. Somebody has to design, print and mould the parts that create it. Increasingly, in India, that somebody is SJS Enterprises.

SJS calls itself a decorative aesthetics company, a category most readers will not recognise by name even though they touch its products daily. The Bengaluru-based firm makes decals, dials, badges, overlays, chrome-plated parts and optical plastics across 14 product categories, sold mainly to two-wheeler and passenger vehicle makers, with a growing consumer appliances business alongside.

Where SJS's income comes from

How revenue is spread across products and markets — % share



Data as of FY26

The group is three companies bolted together: SJS itself, SJS Decoplast (chrome-plated and painted parts, bought in 2021), and Walter Pack India (in-mould labelling and decoration technologies, 90.1 per cent stake bought in 2023). Together they run four plants, with two more coming up, shipping over 17,500 stock-keeping units to more than 220 customer locations across 22 countries.

Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score
★★★★	8/10	8/10	2/10	10/10

Ratings as of August 6, 2026

The real moat

A company that decorates cars sounds easy to disrupt. It is not, for

Growing and improving

Bigger revenue, better margins, higher returns on capital

	FY22	FY23	FY24	FY25	FY26
Revenue (₹ cr)	370	433	628	760	955
Op. profit (₹ cr)	73	84	114	150	217
Op. margin (%)	19.8	19.3	18.1	19.7	22.7
ROCE (%)	20.7	22.8	22.7	24.2	29.9
FCF per share (₹)	15.4	20.0	22.9	41.8	48.0

FCF is free cash flow. Operating profit is earnings before interest and taxes.

three structural reasons.

Long design-in cycles. Getting a part onto a new model means working with an OEM's design team years before launch, which keeps the field of credible bidders small. On a digital speedometer cluster, the print is built into the part rather than stuck on top, so a flawed print can fail the whole cluster. Once an OEM has qualified a supplier for this kind of part, it has little reason to keep re-qualifying new ones.

Batch manufacturing, not scale. SJS runs batch production, not continuous flow. Its SKUs each need their own tooling and changeover, work that is unusually labour-intensive for a component maker. That is a real cost disadvantage. But it also means a rival cannot win this business simply by building a bigger factory. The order goes to whoever gets qualified and customises well, not to whoever produces the most at the lowest price.

A diversified, mostly debt-free base. Top customers have stayed with SJS for an average of about 20 years, and structurally no single customer accounts for over 16-17 per cent of consolidated revenue. The business has generated positive free cash flow every year since listing.

Room to run

Premiumisation is the whole growth story here, not one item on a list. Management tracks it through kit value, the rupee amount of SJS content sitting on an average vehicle, and that number has been climbing steadily as buyers move from bare-bones models to feature-rich ones.

On two-wheelers, the legacy kit value of ₹300 to 500 per vehicle is guided to grow 1.5 to 2 times. On passenger vehicles, the legacy value of ₹1,200-1,500 has already moved to ₹3,500-5,000 after the Walter Pack acquisition added chrome and in-mould technologies, and management expects it to rise 5 to 8 times by early FY28.

The clearest next step up the value chain is a bet on car displays. SJS has signed a technology and supply agreement with BOE Varitronix, a Hong Kong-based display technology leader, to build cover glass and optical bonding capability at a new Hosur facility, with the aim of becoming a fully integrated display supplier. Early FY28 expects first supplies; this is a genuinely new category, and its size is still guidance rather than booked revenue.

Two more levers sit alongside premiumisation. Exports reached 9.5 per cent of FY26 revenue, helped by new customers such as Autoliv, FCA and Orafol in the US, with a target of 14 to 15 per cent by FY28. And a debt-free balance sheet, with about ₹243 crore set aside, leaves room for further bolt-on acquisitions.

Priced for perfection

Some caution belongs alongside the growth story. FY26 was also a record year for the underlying two-wheeler and passenger vehicle industry, so part of SJS's outperformance rode a strong cycle rather than premiumisation or share gains alone. FY26's EBITDA margin of 29.6 per cent is well above the 27 to 28 per cent range management itself calls sustainable, so some giveback should be expected. At Walter Pack India, a deliberate exit from a low-margin consumer-durables programme will keep that unit's growth muted for a couple more quarters.

SJS remains a well-run, debt-free business riding a genuine and durable premiumisation trend, with a real moat and more than one credible growth lever. But at a price-to-earnings multiple of about 48 times, against its own four-year median of about 29 times, the market has already priced in the kit-value story, the export ramp and the display business all landing on schedule. That leaves little margin of safety. A good business bought at a full price is still a full price. ☑

By Abhinav Goel

ANALYST'S DIARY

Yogesh Sharma/AI-generated image

The turnaround trap

Of 36 loss-making IPOs, 20 turned profitable. Yet, their investors still lost.

Since 2021, 36 loss-making companies have listed on Indian exchanges with a full audited year of financials before their float. Of these, 20 are profitable today, at both the operating and the bottom line. In 18 of those 20, the turn came from the business improving, and the median company took two years. The prospectus, on the whole, was kept.

Profit up, price down

Despite being profitable, these companies still trade below issue price

Company	Listing date	Profit then	Profit now (FY26)	Return from issue price (%)
One97 Communications	Nov '21	-1,701	552	-38
Star Health	Dec '21	-826	557	-32
Delhivery	May '22	-416	145	-4
Juniper Hotels	Feb '24	-2	142	-46
Awfis Space Solutions	May '24	-47	71	-28
Shriram Properties	Dec '21	-68	103	-29
Arisinfra Solutions	Jun '25	-17	60	-42

Profit after tax in ₹ crore. Prices as of July 30, 2026.

What Zepto's investors turned down

Zepto was supposed to be this year's marquee listing, the only pure play in India's fastest-growing quick commerce segment. In July, the mutual funds that anchor an IPO valued the business at about a third of the ₹66,500 crore struck in a private round nine months earlier. Zepto pulled the float.

The business is improving. Zepto's operating loss per order fell from ₹136 in FY25 to ₹79 in FY26, the number that decides whether quick commerce works. But orders are growing faster than costs are falling, so the total loss widened to ₹5,905 crore in FY26. A cash burn of ₹4,330 crore left ₹5,681 crore at the year end, about 15 months of runway.

The funds did not reject the business. They rejected the price.

Why mutual funds get the final word

There is a reason that refusal carried weight. A loss-making company cannot list on the strength of its own numbers, SEBI's rules do not allow

Still waiting to turn green

These companies, listed for over 20 months, are yet to turn profitable

Company	Listing date	Profit then	Profit now (FY26)	Return from issue price (%)
United Foodbrands	Apr '21	-33	-62	36
Devyani International	Aug '21	-63	-42	32
Sapphire Foods	Nov '21	-100	-32	-17
Swiggy	Nov '24	-2,350	-4,150	-24
Ola Electric	Aug '24	-1,584	-1,833	-50
FirstCry	Aug '24	-322	-204	-54

Profit after tax in ₹ crore

it. A company can list only if institutions, mutual funds and insurance companies among them, agree to buy at least three-quarters of the shares on offer. Fail that mark and the issue collapses; every rupee goes back, retail investors included. The company proposes a price. The institutional book decides whether it survives.

This is the same rule that let Zepto attempt a listing at all, since a young, loss-making company could not otherwise qualify. It is also the rule that stopped this particular price. A retail investor applying for shares in the next such IPO is relying on a decision institutions have already made, with more information and far more money at stake than any individual can bring.

Paytm's recovery, priced in

No company turned around further than Paytm (One97 Communications). Revenue rose 22 per cent last year to ₹8,437 crore, and the company posted its first full-year profit of ₹552 crore in FY26. Operating losses, excluding other income, narrowed from ₹1,943 crore in FY21 to ₹84 crore, so the business is only now nearing break-even.

Around ₹854 crore of that profit came from other income, mostly interest on cash Paytm still holds, including ₹1,986 crore of unspent IPO proceeds sitting in fixed deposits at the year end. Investors who paid ₹2,150 a share in November 2021 hold a stock worth ₹1,331 today. Five years on, Paytm is close to a real profit, but a good part of it still comes from interest on its own cash, not from the business it runs.

The funds bought the dip

Declining an IPO price is not a verdict on loss-making businesses as a class. Among the 10 largest companies in the screen listed at least two years, mutual funds own more today than two years ago in nine cases, and the average holding has risen from about a tenth of the company to a sixth. Paytm's mutual fund holding rose from 7 per cent to 18 per cent even as the stock never traded above its issue price. Delhivery's holding doubled from 19 per cent to 39 per cent while the stock went nowhere.

How to read the next one

That is the checklist for the next loss-making IPO. Ask who funds the losses until profit arrives, because a burn funded from within the group is a strategy, while one funded entirely by fresh shareholder cash is a countdown. Ask what the profit is made of, because operations and other income sit on the same line, and only the first says anything about the business. And remember what an institutional refusal actually means, not that the company is bad, only that the price is wrong today. A price band cannot be negotiated. It can be declined, and the record so far says the patient side of that trade wins. ☑

By Lekisha Katyal

The funds kept buying

Mutual fund holding has steadily risen in nine out of the 10 largest companies in the screen

Company	Holding (%) Jun '24	Jun '25	Jun '26
Eternal	12.5	21.6	32.0
One97 Comm.	6.8	13.9	18.0
PB Fintech	10.9	15.9	28.0
Star Health	9.8	14.4	10.0
Delhivery	19.1	27.1	39.0
Jyoti CNC Automation	6.4	10.2	10.0
Devyani International	11.8	14.4	15.0
Honasa Consumer	3.6	2.4	6.0
Nazara Technologies	15.0	9.0	2.0
Signature Global	1.8	1.8	3.0

ANALYST'S DIARY

HUL's expensive ascent

How a sound re-rating becomes costly when extrapolated too far

Hindustan Unilever (HUL)'s history offers an unusual titbit. Its profits never compounded at 20 or 25 per cent for long periods, but the share price often did. The appeal was easy to understand. HUL sold everyday products, needed little capital to grow, generated cash regularly and carried little financial risk.

In 2011, Rakesh Jhunjhunwala explained the FMCG sector's premium through three things: growth, return on equity, and cash flows. Consumer companies could grow reasonably well, earn high returns and distribute large amounts of cash without continually asking shareholders for more capital.

HUL already had those qualities by FY10. What followed was a genuine improvement in profitability, which earned the stock a sharp re-rating. The trouble came later when investors began to price that improvement as though it could continue without limit. Its dismal returns in recent years show what happens when a strong business falls short of even stronger expectations. But the optimism did not begin irrationally.

Where the re-rating began

Between FY10 and FY17, HUL's sales grew at 9 per cent annually. EBITDA margin rose from 15.1 to 17.8 per cent.

The making of HUL's premium

Higher margins turned moderate growth into a powerful re-rating

	FY10-17: FY10	FY10-17: FY17	FY20-26: FY20	FY20-26: FY26
Gross sales (₹ cr)	18,220	33,895	38,273	63,763
EBITDA margin (%)	15.1	17.8	25.1	23.6
P/E around April	24	44	70	46

Aprajita Anushree/AI-generated image

That mattered because HUL was already exceptionally capital-efficient. Its return on capital exceeded 100 per cent in FY10 and FY17. It did not need to reinvest most of its profits just to grow. Investors noticed and its P/E rose from 24 times in 2010 to 44 times by 2017.

When margins did the heavy lifting

From FY17 to FY20, sales grew only about 4 per cent annually. Profit after tax, however, compounded at roughly 14-15 per cent.

Reported EBITDA margin jumped from 17.8 per cent to 25.1 per cent. That was broadly because a cut in corporate tax at the time made the reported jump look larger than the underlying improvement, but the gains were still substantial.

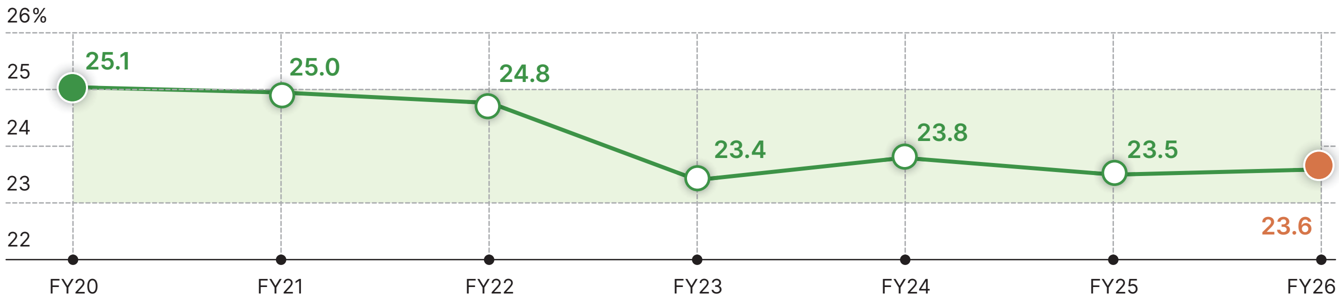
Investors now seemed to believe that HUL did not need explosive sales growth. Premiumisation, cost savings and scale could make every rupee of revenue more profitable. Earnings could grow faster than sales while cash generation remained strong. The sector's appeal as a defensive bet helped.

By 2020-21, HUL was trading close to 70 times earnings. But the earnings yield was barely 1.4 per cent. Put simply, every ₹100 paid for the stock was backed by only about ₹1.4 of annual earnings at the time.

The business deserved a premium. But the premium itself was a key source of returns. Investors were earning from rising profits and from the next investor paying more for it. Only one of those could continue indefinitely.

Explosive growth gave way to stagnation

EBITDA margins have plateaued after the sharp gains of the previous decade



A rising EPS meets a falling multiple

The decline in HUL's P/E outweighed the rise in EPS, resulting in negative returns

	FY21	FY26	Annualised change (%)
EPS (₹)	33.9	45.3	5.9
P/E	70.5	45.6	-8.3
Share price (₹)	2,399	2,064	-3.0

Share prices and historical P/E ratios are based on April data. The FY26 P/E is calculated using earnings from continuing operations.

When the margin runway ended

The searing expansion in margins, which helped drive the stock's earnings multiple, came to a halt after FY20. After moving from roughly 15 per cent to the mid-20s, much of the easier efficiency improvement had been captured.

Commodity inflation squeezed profitability in FY23. More revealing was what happened when input costs finally eased. In FY24, HUL's gross margin recovered by about 430 basis points but EBITDA margin improved only around 40 basis points as the company put much of the benefit back into advertising, brands and capabilities.

Once margins settled around 23-25 per cent, volumes, pricing and sales growth had to do more of the work. But underlying growth was modest. Underlying sales growth was about 2 per cent in FY25 before improving to 5 per cent in FY26.

That was difficult to reconcile with a 70-times multiple. So while the company grew earnings at about 6 per cent annually in the five years ending 2026, its valuation contracted by roughly 8 per cent a year. The stock, therefore, has delivered a negative 3 per cent annualised return compared to the Sensex's 8 per cent over the same period.

Nothing went wrong with the business. Profit from continuing operations still grew, cash generation remained strong and margins stayed well above their levels of a decade earlier. The market simply stopped paying 70 times earnings.

The moat needs more upkeep

There is now another reason the old multiple may be harder to regain.

HUL's traditional advantage rested heavily on brands and distribution. Matching its presence across millions of kirana stores took years and large investments. Digital commerce has lowered that barrier. Quick-commerce platforms increasingly control the digital shelf, search results and customer data. HUL is responding. It has created a dedicated quick-commerce organisation, is pursuing sharper consumer segmentation and has invested in brands such as 'Minimalist' and 'OZiva', alongside premium manufacturing capacity.

Its moat has not disappeared. But maintaining it may require more investment and faster execution than before. That matters because part of HUL's premium was built on the high certainty of its future cash flows.

Your lesson

HUL's business was defensive, not the stock. The re-rating began with real improvement: margins rose, capital efficiency stayed high and cash generation remained strong. The mistake was assuming those drivers could keep lifting profits indefinitely.

Investors must ask not only whether profits are rising, but why, and whether that reason can last. In FMCG, margins have limits and defending them requires investment. A finite source of growth should not be valued as permanent. ☑

By Satyajit Sen

Sakshi/AI-generated image

Monopoly held. Maths didn't

IRCTC still has no competitor. So why did its stock fall by more than half?

The last time you booked a train ticket, you paid a small convenience fee on top of the fare. Maybe you ordered a meal to your seat, or booked a tour package for a holiday. Without noticing, you used three separate businesses run by a single company: IRCTC. And here is the surprise. Those three businesses are nothing alike in how much money they keep.

Four businesses you already know of

This is the Peter Lynch idea in its simplest form. You do not need a broker's note to understand IRCTC. You have been its customer for years.

IRCTC does four things, all with no real competition:

- Sells online train tickets, and earns a convenience fee on each
- Runs catering, the food on trains and at railway stations
- Bottles 'Rail Neer', the packaged water you get on trains
- Packages rail tourism, holiday and pilgrimage trips

For years, the market did not treat IRCTC like a sleepy railway PSU. It treated it like a digital platform, closer to a fintech than a government firm. At its 2021 peak, the stock traded at over 200 times earnings. Today, it trades at roughly 30 times, one of the sharpest valuation resets the Indian market has seen in recent years.

The business did not break. No debt crisis, no losses, no scandal. Revenue and profit both kept growing. Then why did the market mark it down so hard?

★★★	9/10	6/10	6/10	1/10
Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score

Ratings as of August 18, 2026

The data check: Why one rupee is not like another

The answer is not in how much IRCTC earns. It is which part earns it, and this is worth zooming in on.

Online ticketing has a rare quality. It costs almost nothing to serve one more customer. The website is already built. The servers already run. When another passenger books online, IRCTC spends next to nothing extra, so nearly the whole convenience fee drops straight to profit. Ticketing keeps more than 80 paise of every rupee. That is not a railway business. It is a software business, and it is exactly why the market once paid a software price for it.

The other three are the opposite. Every extra meal means more food, staff and logistics. Every tour package carries real cost. Every water bottle means plastic, water and transport. These businesses grow, but they drag their costs along with them, so they keep only low-to-mid teens of each rupee.

How each segment's revenue grew over time

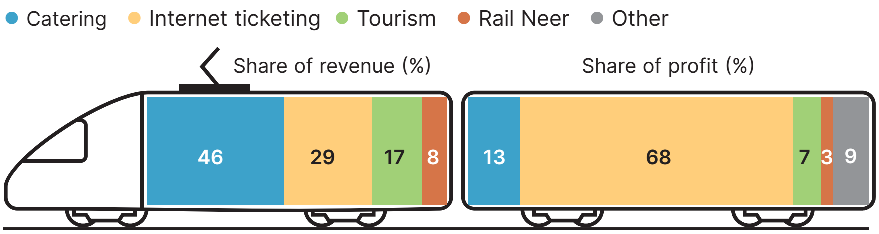
Despite having a higher share in profits, online ticketing's contribution to revenue has gradually declined over time

In ₹ cr

Segment	Catering	Internet ticketing	Tourism	Rail Neer
FY22	499	1,020	187	176
FY23	1,480	1,200	566	315
FY24	1,947	1,295	691	341
FY25	2,125	1,426	745	379
FY26	2,399	1,536	890	391
FY22-26 CAGR (%)	48	11	48	22
FY23-26 CAGR (%)	18	9	16	8

Where the revenue and profits come from

Online ticketing still commands a lion's share of IRCTC's profits



Data as of FY26

Useful, and still never efficient.

Now comes the twist. A few years ago, ticketing brought in more than half of all revenue. Today it is under a third, and catering has quietly become the biggest revenue line. Put revenue and profit side by side and the whole story appears.

The bigger picture: The moat held, the mix turned

IRCTC has not lost its monopoly. It still handles close to nine in 10 reserved railway bookings. What it has lost is the mix. The offline-to-online shift that powered ticketing is essentially over. There are few first-time online bookers left to win, so the high-margin engine is slowing while growth passes to the lower-margin businesses. The latest year makes the split plain: catering grew about 13 per cent and tourism close to 20 per cent, while ticketing, the segment that moves the profit needle, grew under 8 per cent.

Be careful with the growth numbers, though. Measured from the pandemic year FY21, revenue looks like it grew close to 50 per cent a year. But FY21 was a washout, trains barely ran, so that flatters reality. On a cleaner multi-year run the four segments together grew about 29 per cent a year. Still strong, just not the rocket the headline suggests.

Management's own guidance is the clearest tell. It now targets an EBITDA margin of around 30 per cent, lower than the company ran when ticketing dominated the mix. A firm does not lower its own margin ambition unless it expects the mix to keep working against it. Revenue can keep rising in double digits while profit growth quietly slips into single digits.

The lesson

Here is what IRCTC teaches us, and it reaches far beyond a single railway stock.

When you own a company that runs more than one business, do not stop at the comforting question, "Is the moat still there?" IRCTC's moat is fully intact, and the stock still fell by more than half. The moat was never the point.

Ask these two sharper, more precise questions instead:

- Which part of the business is growing the fastest?
- Does that part scale for free, or does it carry its costs with it?

The best businesses are the ones where growth is nearly free, where serving one additional customer costs almost nothing. That is what the market pays a premium for, and rightly so. When growth shifts away from that kind of segment toward one that spends real money to earn each new rupee, the company can look bigger every year and be worth less.

The bottom line

IRCTC is not a bad business. It still remains a debt-free, cash-generating monopoly with no competitor in sight, and that is worth something. It is simply no longer the fast profit compounder the market once paid up for, at least not until ticketing finds a real second growth leg. ☑

By Satyajit Sen

COVER STORY

10 Growth Stocks that Compound

By Abhinav Goel

Ask any investor why they bought a high-growth stock and the answer is almost always the same: the company is growing fast, so it should make them rich. It is one of the oldest, most intuitive beliefs in investing and it happens to be true most of the time. But most of the time is not all the time, and the gap between the two is where a lot of investors lose money without ever understanding why.

We decided to test the belief properly, rather than take it on faith. The first question was: how well does growth pay? We built two baskets of Indian companies each year since FY17: one where revenue and profit before tax grew over 15 per cent a year for the following five years, and one where it did not, both starting above ₹500 crore in market capitalisation. Then we tracked the stock returns of an equal-weighted portfolio of each.

In every single five-year window we tested, the fast growers' stocks outperformed and not by a little. In FY20-25, the growth basket delivered a 53.7 per cent annualised return against 25.5 per cent for the rest, a gap of nearly 28 percentage points a year. Even in the narrowest gap we found, FY18-23, the growth basket still beat the non-growth one by close to 22 percentage points a year.

So the belief holds up. Growth genuinely pays and consistently enough that dismissing growth investing as a fad or a bubble strategy simply doesn't fit the data. However, an average hides a lot of variation, and inside that winning growth basket sit companies that made their shareholders rich, as well as those that grew just as fast and went nowhere. Most investors check only the headline growth rate. But whether investors are actually earning extra wealth or not is decided by one more parameter besides growth.

The growth premium

Fast growers beat slow growers in every five-year period tested

5Y growth <15% pa		5Y growth >15% pa
6.9	FY17-22	36.0
2.5	FY18-23	24.6
15.0	FY19-24	38.8
25.5	FY20-25	53.7
7.3	FY21-26	29.8

Equal-weighted portfolios. Growth measured as five-year annualised growth in revenue and profit before tax; minimum starting market capitalisation of ₹500 crore.

The two-condition test

In true growth investing, a real opportunity should meet two conditions: the company must be growing fast and earning more on its reinvestments than the minimum rate of return that shareholders demand for investing in the business. Neither alone is enough. Fast growth funded by mediocre return on capital doesn't create wealth; it just moves money around and calls it progress. High returns on capital without growth make a fine business, but they aren't a growth story. Only when both hold together does growth actually make an investor richer.

Say two Indian companies both earn ₹100 crore in profit this year and both want to grow that profit to ₹110 crore next year, a rise of 10 per cent.

Company A earns a 20 per cent return on capital, i.e., on the money it puts to work in the business. To add that ₹10 crore of extra profit, it only has to hold back and reinvest ₹50 crore from this year's earnings. The company still has ₹50 crore in free cash, which it can use to reward shareholders through dividends or buybacks.

Company B earns just 12 per cent on the money it puts to work. To add the same ₹10 crore, it has to hold back and reinvest ₹83 crore. Shareholders are left with just ₹17 crore.

Company A took ₹50 crore of the shareholders' money and turned it into ₹10 crore of extra profit, more than the ₹6 crore they would at least want assuming a required return of 12 per cent. It created

What growth is really worth

The one number that decides if 10 per cent growth is worth having

Company A		Company B
₹100 crore	A: Profit this year	₹100 crore
₹10 crore	B: Expected extra profit next year	₹10 crore
20%	C: Return earned on the money reinvested	12%
₹50 crore	D: Money held back from shareholders to fund that growth [(B*100)/C]	₹83 crore
₹50 crore	E: Money actually paid out to shareholders (A-D)	₹17 crore
₹6 crore	F: What the minimum shareholders would have demanded with that held-back money (D*12%)	₹10 crore
₹4 crore	G: Extra value the company created over just handing the money back (B-E)	NIL

Return earned on the money reinvested is ROCE

₹4 crore of genuine extra value. Company B took ₹83 crore and also produced ₹10 crore of extra profit, but that is exactly what shareholders would have at least demanded at 12 per cent. So no extra wealth was created. Company B's growth and profit are real, but its shareholders are no richer for letting the company keep that money instead of paying it out.

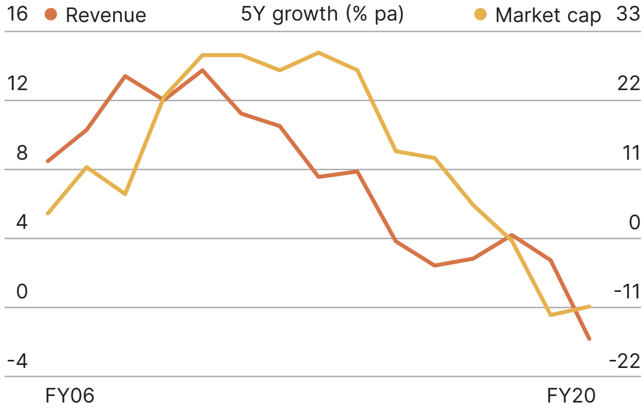
This is close to what Warren Buffett meant when he wrote in 1992 that growth and value investing are joined at the hip. Growth only adds to what a business is worth once it clears this bar.

When growth runs out

Growth also has a habit of not lasting and Castrol India is a clean illustration of why. Through the second half of the 2000s, Castrol's five-year rolling revenue was compounding at 8 to 14 per cent a year, and for a

Castrol's ceiling

What happens when a growth story matures



while the market rewarded it generously. Its business of automotive and industrial lubricants was a genuine growth story in a country with a fast-expanding vehicle fleet.

But growth in a maturing category eventually meets its ceiling. By FY15, the five-year rolling revenue growth had thinned out to the low single digits. That decline deepened further to negative 1.9 per cent a year over the five years to FY20. The market didn't wait for the slowdown to show up fully in the results. It priced in the deceleration years in advance.

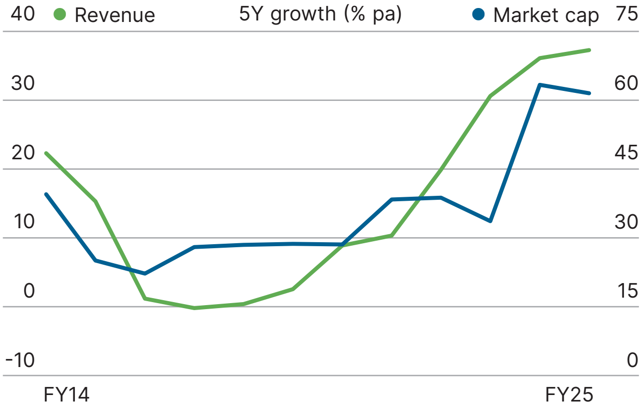
When growth actually arrives

The opposite pattern is just as instructive. Trent, the Tata group's fashion retailer behind Westside and more recently Zudio, saw its five-year rolling revenue growth slow to almost nothing for the windows ending FY16 through FY19. Yet its market capitalisation's five-year growth kept climbing regardless, running at 22 to 28 per cent a year through that same stretch. Investors were betting on growth that hadn't shown up in the numbers yet.

That bet eventually paid off. From the five-year window ending FY20 onward, Trent's revenue growth climbed steadily on a rolling basis, reaching close to 31 per cent measured through FY23 and 37.5 per cent through FY25, driven largely by Zudio's rapid expansion across the country. Market cap's five-year annual growth, already elevated, climbed further, touching nearly 64 per cent through

The Zudio effect

How one format turned Trent's growth story around



FY24. When real growth finally caught up to what the market had already priced in, shareholders were rewarded twice over, once for the growth and once again as the market grew more confident it would continue (see the graph 'The Zudio effect').

But notice what both Castrol India's and Trent's stories share. Whether growth disappoints or delivers, the market tends to move ahead of that number. A stock's price is rarely a verdict on what a company has already done. It is closer to a bet on what the market thinks it will do next, and that is precisely what makes the next risk so easy to miss.

Investing at a P/E of 100

Even fast growers can turn into poor investments at the wrong price

Five-year expected EPS growth (% pa)	Possible returns in the next five years (% pa)		
	P/E 80	P/E 60	P/E 40
40	33.9	26.4	16.6
30	24.3	17.4	8.2
20	14.8	8.3	-0.1

P/E is the expected five-year forward P/E

The price of getting it right

Even a company that clears the two-condition test and grows fast and earns well above what shareholders require can still be a poor investment if today's price already assumes years of that growth continuing.

Consider an investor who buys a company at 100 times earnings, betting on a genuinely exciting growth rate with EPS compounding at 30 per cent a year for the next five years. Suppose the company delivers exactly that, no disappointment at all. But five years on, once that growth rate naturally cools and the market is no longer willing to pay 100 times for it, the stock settles at a more modest 40 times earnings. As a result, the investor's return works out to barely 8.2 per cent a year, for correctly picking a stock that grew exactly as fast as hoped.

How much the multiple eventually cools decides almost everything. If that same 30 per cent grower's multiple only fell to 80 times instead of 40, the return jumps to 24.3 per cent a year. Push the growth rate to 40 per cent a year, and even a fall to 40 times still returns 16.6 per cent a year; faster real growth cushions a harder de-rating.

But slow growth to 20 per cent a year and let the multiple fall to 40 times, and the return turns negative at -0.1 per cent a year, despite the company's earnings genuinely growing the whole time. Buying at elevated multiples is a bet not only on how fast a company grows, but on how long the market keeps paying up for that growth.

Putting it together

None of this means growth investing doesn't work. The evidence at the start of this story says it does, comfortably, in every period we tested.

What it means is that the growth rate alone was never the full answer, and a headline growth number, on its own, tells you almost nothing about whether you are looking at a Company A or a Company B, a Castrol India on its way down or a Trent on its way up.

As seen in the chart on the left, a stock is worth buying for its growth, provided when that growth is being funded efficiently and only when the price still leaves room for the return to show up in your pocket.

Our methodology

How we differentiate growth that pays from one that doesn't

Knowing what to look for is one thing. Finding it across thousands of listed companies without relying on a case-by-case judgement call is another. The filters below turn that idea into six measurable checks, built so that a company cannot pass on the strength of one good year or one generous number.

Growth has to hold up across years, capital efficiency has to hold up across years, and the cash behind the profit has to be real, not merely reported. Only businesses that clear every one of these, together, made it through.

Business scale. Market capitalisation of more than ₹500 crore. This ensures reliable disclosures, scale and adequate liquidity.

Growth. Revenue, operating profit, and profit before tax growing over 15 per cent a year for five years, with double-digit growth in at least four of those five years. A single strong year proves nothing. Sustained growth across cycles does.

Capital efficiency. Five-year median return on capital employed above 15 per cent in at least four of those five years. This is the test at the heart of this story, applied year after year, not just once.

Cash conversion. Five-year cumulative CFO to EBITDA above 65 per cent to ensure reported profits are actually generating cash.

Reinvestment discipline. Five-year median dividend payout ratio below 30 per cent so only those still putting shareholder money back to work make the cut.

Valuation. PEG ratio below 2, so the growth is not already priced in. But this comes with a blind spot: since the market tends to move ahead of the numbers, not behind it, a company whose growth is already fading can show an artificially low PEG if its price has already been marked down in anticipation, and a company whose growth is only just taking off can show an artificially high PEG if its price has already been marked up. PEG is one filter among six here, not the deciding one, precisely because of this.

Applying these filters reduced the universe to 33 companies. From this list, we selected 10 businesses through a deeper qualitative assessment and how believable the growth looks going forward.

These companies are not just fast growers. They are businesses where growth adds to what an investor's money is worth. Remember, these filters narrow the universe, but the final judgement rests with you.

The shortlist: Growth at a reasonable price

Company	Market cap (₹ cr)	PEG	FY21-26 Revenue growth (% pa)	FY21-26 EBITDA growth (% pa)	FY21-26 PAT growth (% pa)	FY21-26 Median dividend payout ratio (%)	FY21-26 CFO / EBITDA (%)
Polycab India	1,39,647	1.8	26.9	29.2	26.3	17.6	70.4
Dixon Technologies	86,332	0.8	49.9	45.5	59.0	4.7	91.0
Caplin Point Laboratories	19,573	1.9	15.6	18.3	20.9	7.4	67.3
Action Construction Equipment	13,043	0.8	21.7	33.5	39.1	5.4	91.9
Lumax Auto Technologies	11,737	1.2	34.5	46.4	45.8	24.3	67.3
Pearl Global Industries	11,367	0.5	27.5	50.3	72.9	11.0	76.4
SJS Enterprises	7,817	1.8	30.6	28.8	29.2	4.6	78.5
Pitti Engineering	3,538	0.6	29.8	32.2	32.6	4.8	83.5
Tinna Rubber And Infrastructure	1,996	0.6	33.2	40.0	116.8	13.1	66.3
Cantabil Retail India	1,899	0.4	27.6	34.8	58.2	10.9	70.8

Data as of August 9, 2026

ACTION CONSTRUCTION EQUIPMENT ★★★★★

Scaling beyond cranes

ACE is India's leading manufacturer of cranes and construction equipment, with market leadership in mobile and tower cranes. Its portfolio includes crawler cranes, truck-mounted cranes, backhoe loaders and forklifts, supplying construction firms, government agencies, miners and rental businesses, plus a smaller agriculture segment of tractors and harvesters.

ACE's core strength is market leadership built over decades. Its distribution reach, over 100 service locations backed by 13 regional offices, is among the industry's widest, where uptime and spare-parts availability matter as much as the machine. A diversified mix across cranes, construction equipment and agriculture limits dependence on any single market, while a long history of in-house development underpins its standing.

A new joint venture with Japan's KATO Works gives ACE heavy-crane technology, expanding into truck, crawler and rough-terrain cranes, with export-ready Japanese-spec models expected within two years and localisation targeted at 50-60 per cent. Defence is a second push: ACE has started manufacturing rough-terrain forklifts and is building a dedicated defence facility, expected to be operational within a couple of quarters, with turnover potential of around ₹500 crore. Management has named inorganic growth, acquiring businesses with a genuine moat, and export growth as the two biggest growth drivers.

Input costs are a live pressure: steel, rubber and other commodities rose sharply through Q1 FY27, squeezing margins ahead of price hikes. Order inflows tie to government infrastructure spending and project financing availability, both cyclical. Competition is intensifying from established and newer entrants building electric and autonomous equipment, and the current growth push, new joint venture, facility and acquisitions still need executing.

8
Growth Score

30.3
P/E

51.5
5Y median ROCE (%)

CANTABIL RETAIL INDIA ★★★★★

Owning every thread

Cantabil Retail is a vertically integrated apparel company that designs, manufactures and retails its own branded clothing. It operates a two lakh-square-foot manufacturing facility in Bahadurgarh, Haryana, with capacity for 1.8 million garments a year. Products sell through 652 exclusive stores across India, alongside a growing e-commerce channel. Menswear is the core at 81 per cent of revenue, with women's wear, kids' wear and accessories making up the rest.

Its core strength is owning the supply chain end to end, from design through final sale, giving it control over quality and costs that a company reliant on third-party manufacturers lacks. A high repeat-customer rate, around half of sales, suggests real loyalty in a category where shoppers switch labels easily.

Growth is driven by three things at once: opening new stores, growing sales at existing ones and scaling online. It is also shifting toward larger stores: average new-store size has grown from around 1,300 square feet two years ago to over 1,800 square feet last quarter, betting bigger stores carry a wider assortment and more sales per location. Online sales, a small 6 per cent of revenue last year, are targeted at 8 per cent this year, with management reworking its digital marketing.

Apparel retail is highly competitive with little structural differentiation, and Cantabil's edge rests on price and product, not a real moat, leaving it exposed if rivals undercut on either. A large share of newer stores are still immature, so a meaningful part of growth depends on stores still ramping up. The business also remains sensitive to discretionary consumer spending, which can soften in a slowdown. This makes revenue growth less predictable and harder to forecast for investors.

6
Growth Score

19.9
P/E

47.0
5Y median ROCE (%)

CAPLIN POINT LABORATORIES ★★★★☆

First mover, deep roots

Caplin manufactures and sells generic pharmaceutical formulations, tablets, capsules, injectables, ophthalmic drops and ointments across 650 products spanning 36 therapeutic segments, 100 per cent export-oriented and built around emerging markets many Indian generic makers ignore. Its differentiator? Owning the distribution network, down to wholesalers and pharmacies, rather than exporting to importers.

Caplin's edge started with the markets it chose: it moved into difficult, unstable Latin American and African markets years before larger rivals, and owning the distribution channel to pharmacy level made that hard to dislodge. Its facilities carry US FDA, EU-GMP, Brazil's ANVISA, Colombia's INVIMA and WHO-GMP approvals, access most emerging-market generic makers lack. That same distribution ownership gives Caplin a negative working capital model in Latin America, collecting cash faster than it pays out. Months of local warehouse inventory shorten delivery rivals can't match, and a wide product basket limits dependence on any single item.

8
Growth Score

31.1
P/E

46.3
5Y median ROCE (%)

The clearest growth driver is an injectable capacity build-out: from one US FDA-approved facility, it plans 17 injectable lines within two to three years, adding formats such as pre-filled syringes, blow-fill-seal and lyophilised injectables. Its own-label US business, Caplin Steriles USA, crossed roughly ₹100 crore in revenue in its first full year, with 30 products launched, 15 more planned and weekly orders from the top four US wholesalers. In Chile, its newest market, 135 product registrations have logged an estimated $10 million over 18 months.

Nearly all of Caplin's business sits in emerging markets prone to currency, political and regulatory swings, and its US expansion adds FDA inspection risk, where one adverse finding could disrupt supply.

DIXON TECHNOLOGIES ★★★★☆

Building India's electronics edge

Dixon is India's largest electronics manufacturing services provider, making products for brands as an OEM (building to a brand's design) and as an ODM (designing the product itself). Categories span LED TVs, washing machines, refrigerators, LED lighting, mobile phones, wearables, set-top boxes and IT hardware.

Dixon is India's largest ODM across several categories, giving it a scale few domestic rivals match. Its three decades of manufacturing experience, six R&D centres in India and China and 35-plus certifications back this position. Licensing rights for Android, Google TV and TIZEN, plus partnerships with Amazon Fire TV and LG WebOS, give its TV business tech access few rivals match.

The bigger growth story is moving into components, where margins run better than assembly. Camera module capacity at subsidiary Q Tech is scaling from 70 million to 180-190 million units a year over 15-18 months, and its first display facility begins mass production early next fiscal, serving mobiles, IT hardware and automotive. An Inventec joint venture on IT hardware should go live by the fourth quarter, alongside a push into laptops, tablets and enterprise servers for data centres. A newly approved Vivo joint venture should contribute from the third quarter, and telecom manufacturing, via Bharti Airtel and Gemtek, targets optical networking and data centre hardware.

8
Growth Score

46.2
P/E

61.9
5Y median ROCE (%)

The business runs on thin, pass-through contract-manufacturing margins and relies on government incentive schemes: mobile PLI 1 expired in March 2026, compressing margins ahead of clarity on its successor. Revenue is concentrated with a handful of anchor customers, and growth depends on new joint ventures and facilities launching on schedule.

LUMAX AUTO TECHNOLOGIES ★★★☆☆

Wired for every fuel

Lumax Auto is a Tier-1 automotive components manufacturer focused on lighting, supplying nearly every major Indian automaker. Its portfolio spans plastics and lighting, including premium interiors; mechatronics, antennas, sensors and telematics; control systems including gear shifters, alternate fuels, CNG and hydrogen solutions. Customers include Maruti Suzuki, Tata Motors, Mahindra & Mahindra and Hero MotoCorp.

Eight decades have given Lumax deep relationships with virtually every major Indian OEM, trust a newer supplier would struggle to match. Building capability through global joint ventures rather than in-house gives tech access a domestic rival would take years to build. Market leadership in gear shifters and a first-to-India CNG fuel-line localisation show engineering-led competition, not just price.

The clearest lever is mechatronics, the fastest-growing vertical, where a new Mega Mechatronics Plant at Manesar consolidates four joint ventures under one roof. A ₹1,601 crore order book gives revenue visibility for years, 40 per cent tied to future and clean-mobility platforms; powertrain-agnostic, Lumax wins business whether a vehicle runs on petrol, CNG or electricity. Alternate fuels are a second push, built around Greenfuel Energy, first to localise a CNG fuel-line component India always imported. A new Bengaluru tech centre aims to embed more software into hardware, moving Lumax toward systems integration.

The business remains tied to auto industry cycles, and any slowdown feeds straight through to volumes. Competitive intensity is rising from EV-focused and low-cost global suppliers that could make some components obsolete faster than expected. A large share of the newer interiors business sits with one OEM, and much of the growth plan rests on new facilities and unproven bets.

9
Growth Score

42.4
P/E

32.6
5Y median ROCE (%)

PEARL GLOBAL INDUSTRIES ★★★★☆

Moving beyond geography

Pearl Global designs and manufactures apparel for global fashion brands. Its range spans womenswear, menswear, childrenswear, denim, sportswear and activewear, made across 25 factories in five countries: India, Bangladesh, Vietnam, Indonesia and Guatemala. Combined capacity runs above 100 million pieces a year.

Pearl Global's core strength is geographic diversification, built over a decade so no single country's trade policy or labour costs can derail it. Each base plays a role: Bangladesh brings scale and duty-free access, Vietnam connects to fast-growing North American brands, Indonesia opens duty-free routes to Japan and Australia and Guatemala offers US customers a nearshore, zero-tariff option. Long brand relationships separate it from smaller, single-geography rivals.

New trade agreements are its biggest lever. India's free trade deals with the UK, signed mid-2025, and the EU, expected next year, plus existing access to Japan and Australia and a sharply reduced US tariff, give India access to every major market Pearl Global serves, a $250 billion-plus opportunity previously closed to it. Its eight India factories carry capacity for over ₹1,600 crore of revenue with no further investment. A new Bihar facility is ramping toward steady state, a Bangladesh expansion adds six million pieces of capacity and a sustainability laundry project is nearing completion. Management targets capacity of 125-130 million pieces by 2028, up from around 100 million today.

Apparel demand ties to consumer spending in the US and Europe, and any slowdown there flows straight through to order volumes. Trade policy remains a live risk: the US imposed an additional tariff on Indian-made apparel, partly absorbed to protect customer relationships, denting margins.

8
Growth Score

36.2
P/E

39.4
5Y median ROCE (%)

PITTI ENGINEERING ★★★★☆

Casting a wider net

Pitti Engineering is India's largest manufacturer and exporter of electrical steel laminations, the stacked steel sheets that form the core of electric motors and generators. What began as a lamination business now spans rotating electrical equipment, machined components and a foundry division for castings. Its products serve power generation, railways, mining, renewable energy, industrial motors and increasingly, data centres.

Pitti's scale in laminations, built over four decades, gives a manufacturing base few Indian rivals match, spanning sheet metal, casting and machining. That integration lets it offer a finished stator-rotor assembly rather than a raw lamination, a stickier proposition. Its global rail and industrial client list reflects qualification hard for a newer entrant to replicate.

A new ₹290 crore greenfield casting facility, commissioning by FY30, will more than double casting capacity to 36,000 tonnes and lift machining hours toward 10.8 lakh, built to serve customers such as Wabtec, Caterpillar, Progress Rail, Siemens Mobility and Voith as they diversify their supply chains. Data centres are the newest, smallest line today, just 3 per cent of revenue. Still, management calls it promising, with three new customer wins in castings and assemblies for generator housings and turbine parts. Recent acquisitions, Dakshin Foundry for castings and Bagadia Chaitra for pumps, have widened the business beyond lamination.

The risks are worth watching. The top five customers contribute 65-70 per cent of revenue. High switching costs can reduce the risk, but any disruption in a large customer programme can hurt. The new facility takes until FY30 to commission, a long runway during which demand assumptions could change.

7
Growth Score

30.8
P/E

30.5
5Y median ROCE (%)

POLYCAB INDIA ★★★★★

India's cable backbone

Polycab is India's largest integrated wires and cables manufacturer, selling to retail, industrial and institutional customers across power, infrastructure and real estate. Fast-moving electrical goods, spanning fans, lighting, switches, switchgear and solar, reach over 1.9 lakh retail outlets through 3,900-plus dealers.

Polycab's core strength is scale: its wires and cables business is nearly twice the size of its nearest organised peers, built on roughly 10,000 SKUs made in-house across 26 plants, giving it control over quality, cost and delivery that rivals cannot match. A pan-India dealer network with 24-hour delivery, and a NABL-accredited R&D centre, back availability and development. A niche special-cable business serving railways, defence and electric mobility has high entry barriers.

Growth is driven by Project Spring, a five-year plan to FY30 with ₹6,000-8,000 crore of capex, double the prior cycle, targeting 1.5 times the market's growth in wires and cables and exports beyond a tenth of sales, from 5.4 per cent in FY26. Fast-moving electrical goods grew 71 per cent year-on-year in the June 2026 quarter, its tenth straight quarter of outgrowing the industry. A newer lever is data centres, where management pegs the cable opportunity at ₹20,000-25,000 crore over six to eight years, with Polycab already supplying Vodafone Idea's data centres.

The risks sit largely outside Polycab's control. Copper and aluminium prices swing sharply; hedging cushions this, but sustained volatility can pressure margins. Exports, a key growth driver, have already been hit by Middle East disruption and shifting US trade policy, and the capex programme carries execution risk, alongside intense competition.

8
Growth Score

48.9
P/E

58.0
5Y median ROCE (%)

SJS ENTERPRISES ★★★★☆

Designing the details

SJS designs and manufactures decorative aesthetic parts, badges, dials, logos, chrome trims and display covers for two-wheeler dashboards, car exteriors and washing machine panels. Its portfolio spans 14 categories, from 2D/3D dials and chrome-plated parts to in-mould decoration and optical plastics.

SJS's strength lies in owning a category most rivals ignore: visible, branded parts where design and precision matter more than scale. A 20-year average relationship with top customers shows real stickiness, reinforced by a wide product basket keeping SJS across a customer's whole range, not one part. A 135-person product development team and BOE Varitronix tie-up for automotive displays give access to categories a domestic rival would take years to build.

The clearest new lever is automotive displays and cover glass, via a BOE Varitronix licence, a global category leader. The dedicated Hosur facility assembles cover glass and optical bonding for car instrument clusters, layered onto the existing badges-and-trim business. Electric vehicles add a second push: EV makers still import displays and cover glass, which SJS expects to localise as EV volumes grow.

A newly commissioned Pune facility adds ₹200-250 crore capacity at SJS Decoplast, where management targets doubling sales in three to four years. Exports are targeted at 14-15 per cent of revenue by FY28, up from under 10 per cent today.

SJS Enterprises' business ties to auto and consumer-durable production, so any slowdown in vehicle or appliance sales feeds into demand for aesthetic parts.

The BOE Varitronix partnership is new and unproven at scale; revenue is over a year away and a rival has already struck a similar tie-up for two-wheelers.

8
Growth Score

36.9
P/E

42.0
5Y median ROCE (%)

TINNA RUBBER AND INFRASTRUCTURE ★★★★☆

Small niche, wide moat

Tinna Rubber is one of India's largest organised recyclers of end-of-life tyres, turning them into crumb rubber, micronised rubber powder, reclaimed rubber and steel across five lines: infrastructure, crumb rubber blended into road bitumen, industrial rubber for conveyor belts and tyres, steel abrasives, and a smaller consumer and polymer composites business for sports surfaces and auto parts.

India generates about five million tonnes of scrap tyres a year, but over 80 per cent of recycling is still informal, leaving Tinna among the few large, certified players. Its moat rests on two things: qualifying to supply tyre makers takes 2-5 years of audits that even a well-funded newcomer cannot shortcut; and under India's Extended Producer Responsibility rules, tyre makers must recycle what they sell, directly or through credits bought from certified recyclers like Tinna.

Growth is increasingly coming from outside India. A South Africa plant has cleared its first phase and started exporting semi-processed material, with full crumb rubber output due by September, while a new Chile subsidiary widens the feedstock search. At home, Tinna is moving into higher-value products at Varale, tyre pyrolysis oil and recovered carbon black, both due for commercial sales over the next two quarters. Its polymer composites business has already tripled revenue this year to ₹12 crore.

Imported tyres make up about 70 per cent of what Tinna crushes, leaving raw material costs exposed to freight rates and global trade disruptions. The new overseas plants remain loss-making; South Africa and Saudi Arabia together lost ₹1.6 crore in FY26. This combination of import dependence and overseas startup losses means near-term profitability could remain under pressure despite strong long-term structural growth drivers. ☑

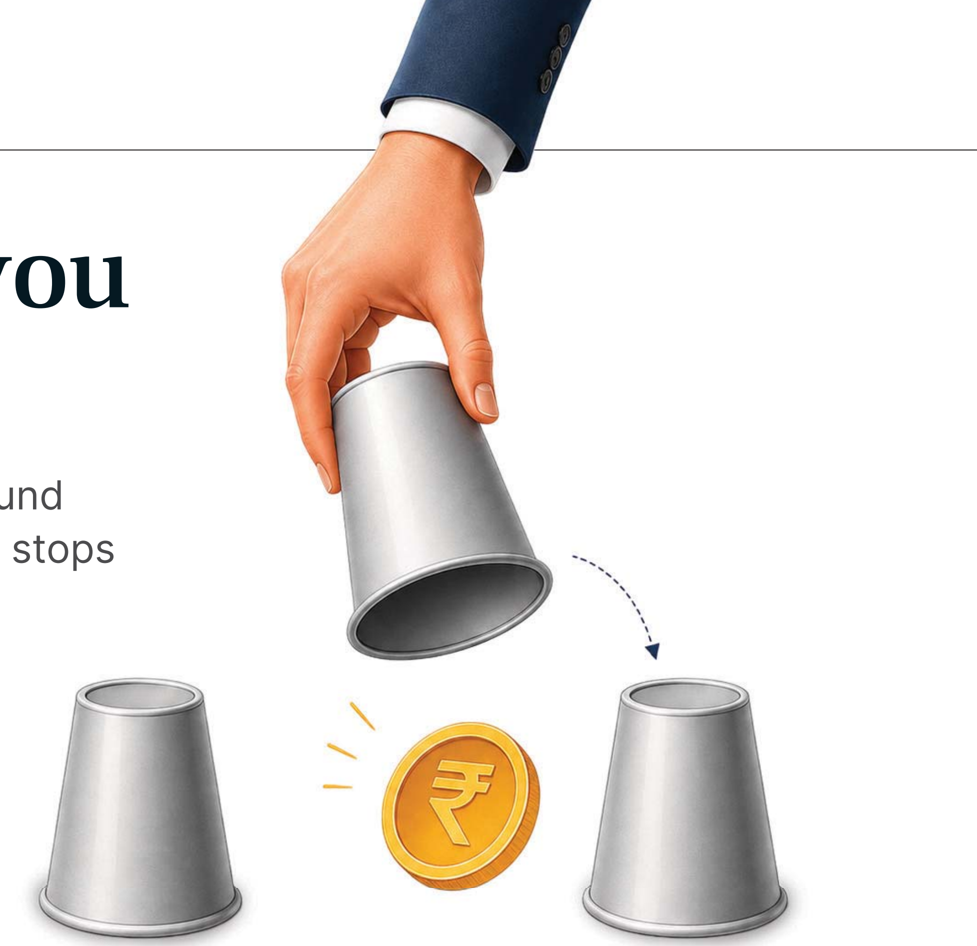
7
Growth Score

32.3
P/E

44.3
5Y median ROCE (%)

The cost you don't see

Every rupee you pay in fund expenses is a rupee that stops compounding forever



Yogesh Sharma/AI-generated image

Every mutual fund factsheet includes a number most investors glance at and immediately forget. It sits in a small box, expressed as a percentage that rarely exceeds 2. It is called the 'expense ratio'. And over the course of a long investing life, it is quietly one of the most consequential numbers in your financial world.

The termite in your portfolio

You already understand compounding in the direction that feels good. A ₹10,000 monthly SIP growing at 12 per cent per year becomes ₹22 lakh in 10 years, ₹92 lakh in 20 years, and over ₹3 crore in 30 years. The numbers grow faster as time passes; the last decade does more work than the first two combined. That is the celebrated magic of compounding.

What almost nobody talks about is that costs compound in the same way but in reverse. Every percentage point of annual expense does not simply subtract a fixed amount from your returns each year. It removes money from your corpus that would have itself compounded for the remaining years of your investment horizon. The return you lose in year five never compounds in year six. Or even in year 15.

What you actually pay

Before showing what costs do to a corpus, it helps to see what you are actually paying.

Across large-cap funds in India, the average Nifty 50 ETF charges 0.13 per cent per year. The typical active large-cap fund on the direct plan charges 1.14 per cent, about nine times the cost of an ETF. On the regular plan, the same fund charges around 2.21 per cent.

The expense ratio is not a single fee. It contains the fund manager's salary, operating costs, brokerage, transaction charges and statutory levies. In the regular plan, it also contains the distributor's commission, typically around 1 per cent per year paid to whoever sold you the fund, every year, for as long as you stay invested.

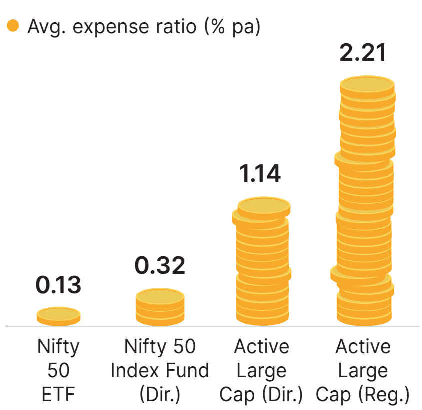
The numbers that matter

Consider three investors, each putting ₹10,000 a month into equity funds. All three earn the same gross return (12 per cent per year), broadly in line with India's long-run equity market performance. The only difference is what they pay in expenses.

The first invests in a Nifty 50 ETF index fund at 0.13 per cent. The second uses an active large-cap fund on the direct plan at 1.14 per cent. The third uses the same active fund through a distributor on the regular

What you pay

All track the same index. Yet, their costs differ vastly.



The cost of costs

Same gross return of 12 per cent per year. Only the expense ratio changes.

		Nifty 50 ETF (0.13%)		Active fund, direct plan (1.14%)		Active fund, regular plan (2.21%)	
	Amount invested	Corpus	Wealth lost vs ETF	Corpus	Wealth lost vs ETF	Corpus	Wealth lost vs ETF
10 years	₹12 lakh	₹22 lakh	—	₹20.9 lakh	₹1.1 lakh	₹19.8 lakh	₹2.3 lakh
20 years	₹24 lakh	₹89.7 lakh	—	₹79.5 lakh	₹10.2 lakh	₹70.1 lakh	₹19.6 lakh
30 years	₹36 lakh	₹3 cr	—	₹2.4 cr	₹53.6 lakh	₹2 cr	₹99.4 lakh

plan at 2.21 per cent.

In 10 years, the difference is noticeable but not alarming. The ETF investor has ₹22 lakh. The regular plan investor has ₹19.8 lakh. A gap of ₹2.3 lakh, meaningful but very easy to rationalise.

By 20 years, the gap has become ₹19.6 lakh. The regular plan investor has given up a corpus equivalent to nearly 16 years of their own SIP contributions,

At 30 years, the ETF investor has ₹2.97 crore. The regular plan investor has ₹1.98 crore. The cost of that 2 per cent difference in annual expenses, compounded over three decades, is ₹99.4 lakh, nearly a crore of wealth, consumed not by a market crash or a bad stock pick, but by a percentage that seemed too small to matter.

What active managers must do to justify the cost

The gap between an ETF and an active fund is not just the cost of administration. It is the price of the fund manager's attempt to beat the index. For that attempt to be worth paying for, the manager must clear the cost hurdle first.

A typical active large-cap fund manager on the direct plan must beat the index by at least 1.14 per cent every year, consistently, just to break even on costs for the investor. On the regular plan, that hurdle rises to over 2 per cent every year.

Over any five-year monthly rolling period starting January 2013, on an average, 47 per cent of the active large-cap direct funds failed to beat the index. In the regular plan, the odds are even lower.

The honest conclusion is not that active management never works. It is that most investors paying regular-plan expenses have never sat down and asked whether the outperformance they may be receiving justifies the cost they are paying, let alone calculated what that cost actually amounts to over a decade.

The one number worth checking for

Somewhere in the documents for every mutual fund you own is an expense ratio. For funds held in the regular plan, that number contains a commission that is being paid annually to a distributor, whether or not that distributor has spoken to you since the day you invested.

The move from regular to direct cuts approximately 1 percentage point from your annual cost. The move from an active direct fund to an ETF cuts a further 1 percentage point. Together, the gap between the most expensive common option and the least expensive is roughly 2 percentage points per year.

Costs are the one variable in investing that you control completely. Not the market, not the fund manager, not the economic cycle, but costs. They are certain, they are continuous, and they compound in exactly the direction you do not want. The investor who understands this and acts on it has already made one of the most reliable decisions available to them.

Breaking the habit

Real estate is booming again. But this time, one rule stands between a rally and a repeat.

Real estate stocks are booming again, and anyone who lived through the last boom knows how that story can end. In the run-up to 2008, developers borrowed aggressively, land prices soared, and the BSE Realty index fell nearly 90 per cent when the cycle turned; it still hasn't recovered. The temptation is to look at today's rally and brace for a repeat. The more useful question is narrower: What exactly caused the 2008 collapse, and has that specific thing changed?

How a boom became a Ponzi-like structure

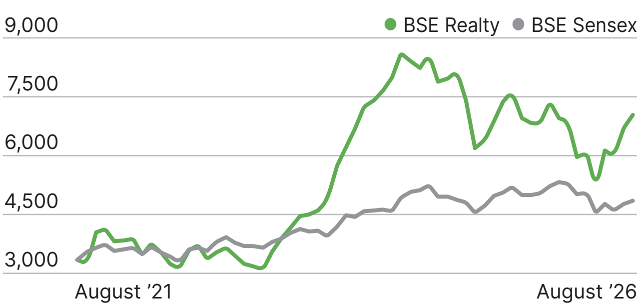
The mechanism was specific, not just excess optimism. Developers across the sector routinely used money collected from buyers for one project, ostensibly meant for construction, to fund land purchases for the next launch. Sales from that next launch then covered the previous project's shortfall, and so on down the chain. It worked only as long as new launches kept generating fresh money. Global investment banks took direct stakes in individual projects rather than in the developers themselves, betting on land appreciation rather than execution. When credit froze in 2008, every link in that chain broke at once, and the entire sector's earnings and share prices collapsed.

The rule that closed the loophole

The specific fix arrived in 2016, with the Real Estate Regulation Act. RERA requires developers to keep the bulk of what they collect from buyers in an escrow account, ring-fenced for that project alone, and forbids launching a project before every approval is in hand. Both rules attack the exact failure mode of 2008: money raised for one project can no longer be quietly redirected to fund land for the next, and developers can no longer pre-launch on hope while approvals are pending. This is not a sentiment shift. It is a change to how cash is legally allowed to move inside a developer's balance sheet.

Yogesh Sharma/AI-generated image

Index movement



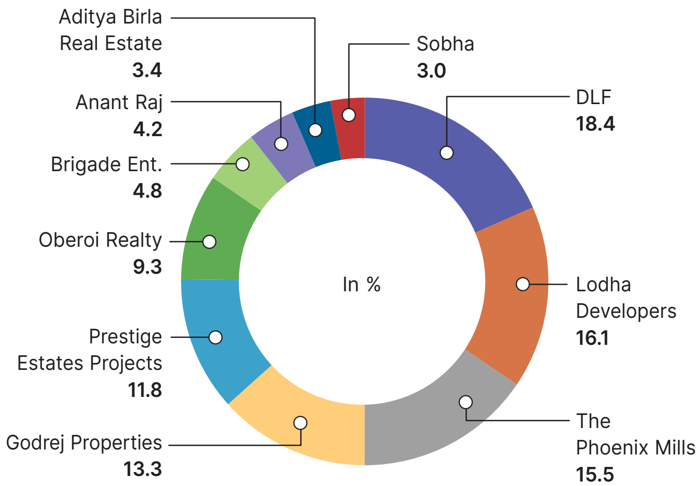
Growth came back, funded differently

Leverage has not disappeared from this rally, but where it comes from has changed. A large share of the capital behind the sector's recent growth has arrived through equity, public listings and structured credit, rather than the bank borrowing and buyer-advance diversion that defined the last cycle. Sector-wide, developers have spent the years since RERA paying down the kind of debt that once tied one project's survival to another's, even as sales volumes across the industry have grown sharply. That does not make the sector immune to a slowdown. It does mean a weak patch now shows up as softer sales, not the kind of chain-reaction default that pulled the whole sector down together in 2008.

The honest trade-off

None of this means the cycle has been abolished, only that regulators have removed its most dangerous failure mode from easy reach. Real estate remains a business that moves in wide swings, and outcomes still diverge sharply across the sector depending on how well individual developers execute. An index does not need to identify which one gets that execution right. It needs the sector's underlying growth, and the discipline RERA has forced into it, to hold. That is a genuinely different bet from the one that failed in 2008. ☑

Index weights



Company	Market cap (₹ cr)	P/E	P/B	Dividend yield (%)	1Y return (%)
The Phoenix Mills	67,682	52.9	6.0	0.1	30.3
Oberoi Realty	66,428	25.3	3.6	0.4	15.0
Anant Raj	22,462	40.3	3.9	0.2	10.7
Lodha Developers	1,24,312	30.1	5.2	0.3	3.2
Godrej Properties	63,396	34.3	3.3	0.5	2.7
Prestige Estates	69,623	61.1	4.2	0.1	1.2
Sobha	14,674	63.6	3.1	0.4	-13.4
DLF	1,63,098	36.9	3.6	1.2	-15.2
Brigade Ent.	18,914	29.4	2.8	0.3	-21.1
Aditya Birla Real	15,878	-	4.3	0.2	-24.9

Data as of August 3, 2026

Key numbers

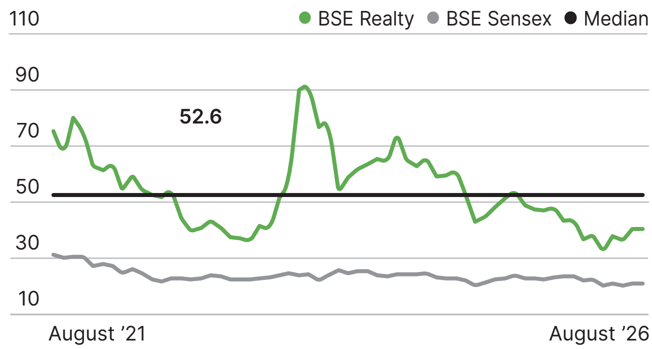
40.5
Price-to-earnings

5.6
Price-to-book

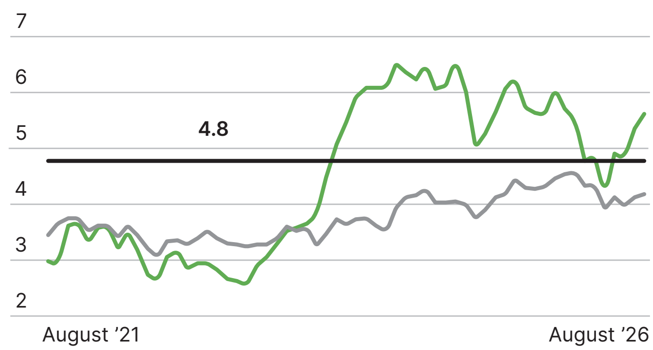
0.5
Dividend yield (%)

6.3
Market cap (₹ lakh cr)

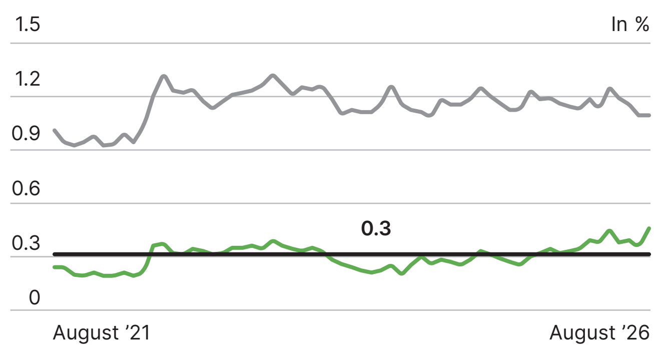
Price-to-earnings ratio (P/E)



Price-to-book ratio (P/B)



Dividend yield



STOCK ADVISOR

The bigger questions

Sound investing means taking a reasoned view on the forces reshaping whole industries, and keeping your nerve when the crowd loses it

By
Dhirendra Kumar

For quite a while now, one of the biggest worries in our markets has been that India's software companies are nearing the end of a long, profitable road. Every pundit came to the same conclusion: AI would write the code, answer support calls and run the back office, while the IT services industry would shrink and perhaps die. Investors seemed to agree, and the combined market caps of the largest listed companies fell to half. In fact, a well-known research house, Bernstein, wrote an open letter to the Prime Minister and warned about a broad white-collar employment crisis.

I'll use this atmosphere of fear to make my point about how investing actually works. A sector is written off when the investor who thinks and the investor who reacts get separated. Picking good stocks at good value is only half the story. The other half, which is more difficult, is to take a reasoned view on the larger economic and technological forces that will shape the future of those companies over the years, and to hold that view with logic and conviction.

To explain, I'll walk you through an analysis of the fear of AI I described above. Note that in this article, the method of the analysis matters more than the conclusion. The first thing to absorb is that we have been at such junctures earlier. Take ATMs, or in fact, bank computerisation in general. When these arrived, it was supposed to be the end of bank clerks and cashiers, and there was widespread fear that they would sharply reduce the number of employees banks needed. What actually happened is that it made banking cheaper, therefore much more accessible and led to a massive expansion of the industry. Can you imagine today's banking network being affordable with automation? A tool that makes a task cheaper expands the demand for that task. The nature of the work changes, but the total quantity needed increases.

Apply this principle to software. If AI makes creating and running software cheaper, then it's self-evident that the world will need far more software and related services, not less. In fact, there's a long-standing principle named 'Jevons' Paradox'. As long ago as 1865, economist William Jevons noted that James Watt's efficient steam engine used far less coal and because of this, factories installed more engines and burned more coal. The total amount of software services needed globally is not fixed; it's constrained by what can be created and used economically.

Over the next few years, every business in the world will move from dabbling in AI like a hobbyist to running AI tools properly across its operations. This is a huge task and mostly a messy, unglamorous job: cleaning up decades of old data, connecting new systems to old ones, keeping them secure, compliant with laws and regulations and generally taking care of details. This is the kind of work our services industry has spent three decades learning to do at scale. There is a further twist that AI pessimists miss — many companies globally are discovering that buying the technology is easy and getting a real return from it is hard, and this is the gap Indian services firms are

> **Picking good stocks at good value is only half the story. The other half is to take a reasoned view on the larger economic and technological forces that will shape the future of those companies and to hold that view with logic and conviction.**

Illustration: Anand Kumar

needed to close. The evidence for what I say is already visible: larger companies are reporting billions of dollars in new AI-related business while AI fear peaks.

Sure, this does not mean that the road ahead is smooth. The next couple of years may be problematic because efficiency will happen, but new demand will take time. Our own view at **Value Research**, which is a considered judgment rather than a certainty, is that the way services work is priced and organised will change a lot, but eventually there will be more work, not less.

This is the part of our work at **Value Research Stock Advisor** that is easy to overlook by our members. Everyone can see the list of recommendations we put out, as well as the stock-level analysis behind it. Less visible are the higher-level trends that can broadly influence businesses and the economy. Of course, many members ask 'higher level' questions that we firmly ignore. For example, "What will the level of the Sensex be a year from now?" However, developing a reasoned view on a fundamental shift like AI is central to the kind of thinking we do on stocks. This kind of analysis is a major part of our job.

Our view at Value Research is that the way services are priced will change, but work will be more, not less

I have described earlier the disciplined process that underlies our success. Our process begins by eliminating rather than selecting, by discarding companies that fail our tests of governance and financial health. Only then do we look at the survivors of this elimination round and judge which of them will generate real wealth for you. A carefully considered view on a development like AI does not override this discipline; it adds to it and helps us judge who stands to gain and why. It's part of our system in which every month our research team revisits each of our three portfolios: **Long-term Growth, Aggressive Growth** and **Dividend Growth**. When the facts change, we act on them and tell you why.

For ₹9,990 a year, what you are buying is not the list but the thinking that produced and maintains that list, and the team that maintains it through the kind of fear gripping investors. Anyone can hand you the names of a few good companies; that's not difficult. The real value lies in someone who has worked out the answers to the day's big questions so your investment decisions aren't swamped by fear and noise.

ALPHANSO

The ergodicity blindspot

Why 'human bias' is often just bad math

By
Anand
Tandon

For decades, behavioural finance has leaned on a seductive narrative: *Homo economicus* is dead, and real humans are walking bundles of cognitive defects. When an investor refuses a mathematically 'favourable' bet, panics during a drawdown or pays for seemingly overpriced insurance, economists reach for psychological labels: loss aversion, irrational risk aversion or mental accounting.

As Ole Peters, a physicist at the London Mathematical Laboratory, and Alexander Adamou have argued, the diagnosis sounds sophisticated, but it has a fatal flaw. Not all biases described by behavioural economics are flaws in human psychology. What academics label as 'bias' is frequently a rational survival response to a fundamental mathematical property of markets: non-ergodicity. Though forbiddingly academic and intimidating, it explains one of investing's most practical truths: the return that looks attractive on paper may not be the return an investor actually lives through.

The core problem: Ensemble vs time averages

Suppose we could create 10,000 identical investors, give each the same starting capital and expose each to one random outcome. Averaging their ending wealth would give us an ensemble average: an average across many parallel outcomes.

Now take one investor and expose her capital to the same kind of uncertainty repeatedly for 20 or 30 years. Her compound experience gives us a time average: what happens along one path as time passes. A process is ergodic only if its ensemble average equals its time average.

Ensemble average = Time average ⟺ Ergodic

The 'irrational' coin toss (multiplicative compounding) – a 'profitable' bet that destroys wealth

Consider a coin toss with the following payoff on your entire portfolio:

- Heads: gain 50 per cent
- Tails: lose 40 per cent

Each is equally likely. The expected one-round return is: 0.5(50 per cent) + 0.5(-40 per cent) = 5 per cent

Across a large population playing once, this appears attractive. But now follow one investor who starts with ₹10 lakh and plays repeatedly. One win takes the portfolio to ₹15 lakh. One loss then reduces it to ₹9 lakh. After an equal number of wins and losses, the investor is down 10 per cent, not up 10 per cent.

The reason is multiplication: 1+0.501-0.40=0.90

Over many rounds, a roughly even mix of heads and tails drives wealth downward. The typical compound growth rate is about -5.1 per cent per round, despite the positive expected return of 5 per cent.

Nothing irrational is required to reject this bet. The apparent contradiction comes from answering the wrong question. Expected return describes the average across possible outcomes. Compound growth describes what repeated exposure does to one pool of capital. This does not make expected return useless, but it is incomplete. Expected return must be considered alongside dispersion, position size, compounding and the possibility of ruin.

Russian roulette and the insurance paradox (absorbing barriers)

Nassim Taleb illustrates non-ergodicity through Russian roulette:

- If six people play Russian roulette once and each survivor gets ₹1 crore, five walk away rich. The ensemble average looks exceptionally lucrative.
- If one person plays Russian roulette six times in a row,

> Though 'non-ergodicity' looks quite academic and initimidating, it explains one of investing's most practical truths: the return that looks attractive on paper may not be the one an investor actually lives through

the expected outcome is death.

In economics, death, bankruptcy or forced liquidation is an absorbing barrier (a state from which you cannot return).

Compounding capital trajectory

This explains the classic insurance paradox: insurance companies charge a premium higher than the mathematical expected loss to cover costs and earn a profit. Classical economic theory claims paying a negative expected value is 'irrational', forcing economists to invent subjective 'risk preference utility curves' to justify why businesses buy insurance. In reality, a factory fire or sudden liquidity freeze acts as an absorbing barrier. Losing 100 per cent of capital permanently terminates future compounding.

Paying a small negative-expected-value insurance fee removes the absorbing barrier, keeping the business in the game so its time-average compounding remains positive.

The non-ergodic playbook: How to manage path dependency

The first implication is that survival comes before optimisation. This sounds conservative, but it is the foundation of compounding. The extraordinary power of a 20- or 30-year horizon exists only for capital that remains invested for 20 or 30 years.

That means avoiding structures in which an ordinary bad outcome can force an irreversible decision. Excessive borrowing, concentrated bets, derivatives with uncapped losses and investing near-term liabilities in volatile assets all create path dependency of the dangerous kind. A sound plan does not work only if the average year arrives on schedule. Eliminate absorbing barriers

Another implication is position sizing. A sound investment thesis held at a ruinous size is not a sound portfolio decision. The Kelly criterion, a formal approach to sizing repeated bets, makes this point mathematically: even with a genuine edge, betting too much can reduce long-run growth and, at extreme levels, court ruin.

Nassim Taleb suggests a barbell approach to allocation: rather than sitting in the middle with 'moderate risk' assets that can suffer prolonged drawdowns, structure your capital in two distinct buckets:

The foundation (85-90 per cent): Ultra-safe, highly liquid assets where the probability of irreversible loss is near zero.

The asymmetric upside (10-15 per cent): Small, aggressive allocations with capped downside (you can only lose what you put in) and an uncapped, exponential upside.

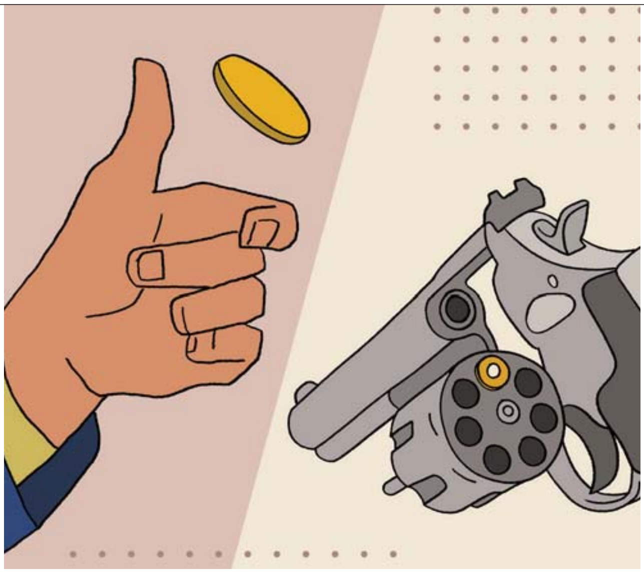


Illustration: Anand Kumar

Where behaviour and mathematics interact

Ergodicity should not become another sweeping theory that declares every apparent behavioural bias rational. Investors do chase performance, anchor to purchase prices and become overconfident. But again, human risk aversion is not an evolutionary bug; it is an intuitive survival mechanism designed for a non-ergodic world where losses absorb future gains and ruin is permanent. What looks 'irrational' under a one-period expected-value model may be entirely sensible once repeated exposure and the cost of failure are included.

An emergency fund, adequate insurance and a modest allocation to stable assets can appear inefficient in a spreadsheet built around average outcomes. In a real life containing job losses, medical expenses and mistimed bear markets, they may be what prevents the sale of good long-term assets at the worst possible moment.

Investors naturally ask: What return can this investment deliver?' Ergodicity suggests a better sequence of questions: What range of paths could lead to that return? How deep could the losses be? Could I remain invested, financially and emotionally? Could leverage, a liquidity need or concentration force me out? And if the adverse path arrives first, will I still participate when the favourable years eventually come? These questions do not replace valuation, security selection or expected returns. They place them inside the reality in which wealth is actually built.

For the serious investor, wealth creation is not about maximising the *expected* value of the next quarter. It is about staying in the game long enough for time-averaged compounding to do the heavy lifting. ☑

αLPHANSO

Rather late than wrong

Why walking away from a good quarter may be the smartest decision

By **Mohammed Ekramul Haque**

Here is something we have learnt the hard way at **Value Research Stock Advisor:** the results that look best are often the ones that deserve the closest look. A company that beats every estimate, on every line, in the same quarter, is not always a great business firing on all cylinders. Sometimes it is a good business with a one-off dressed up as a trend.

We were reminded of this last year, when an engineering equipment maker crossed our desk as a possible recommendation. This is one of Asia's largest manufacturers in its category, with a presence in close to 100 countries. On paper, the case wrote itself. Revenue for H1 FY26 was up 19 per cent year-on-year. Net profit was up 64 per cent, more than three times as fast as revenue. One key division grew 33 per cent in the second quarter alone. The order book was healthy, and management had set out a target to nearly triple international revenue, from 15 per cent of sales to 50 per cent, by FY30. The commentary spoke of strong order execution and improving operational efficiency. *Sab changa si,* as we say. Everything is fine.

The number that didn't add up

Except something was not.

Net profit growing more than three times as fast as revenue is not impossible. But it is unusual, and an unusual number deserves scrutiny, not excitement. We went back to the segmental results, isolated the division behind the outsized quarter, and asked a simple question: was this operating performance, or something that happens once and does not repeat? We did not get a clean answer, and an unclean answer was an answer itself. We walked away. The company is no longer on our list for potential recommendations.

We may occasionally be a little late to a good stock because of this discipline. We would rather be late than wrong.

Four checks before you trust a good quarter

Here is what that episode taught us, and what it can teach you the next time a company's numbers look almost too good.

Read the segments before the headline. A blended, company-wide number can hide a lot. Break revenue, EBITDA and profit down by segment before you believe the growth story. A single division having an exceptional quarter, an arbitration award, an insurance claim, a one-time settlement, can lift the whole company's numbers without saying anything about the underlying business. Adjust that segment's profit for the known one-off and compare it against its own historical run rate, not against this one quarter.

Work with adjusted profit, not reported profit. Reported net profit includes everything: gains from asset sales, tax credits, write-backs, all of it. Adjusted profit, the number left after you strip out the one-offs, is closer to what the business will actually keep earning next year and the year after. Compare adjusted profit year-on-year and quarter-on-quarter, not the headline figure, to judge real momentum.

Watch for one-offs that keep showing up. A gain is a genuine surprise the first time. If a company reports an arbitration settlement or a tax refund every year, or every couple of quarters, it stops being one-off and starts being a pattern management leans on to flatter the numbers. Go back three or four years. If exceptional items appear with suspicious regularity, treat them as a feature of the business, not an accident. Management commentary and analyst call transcripts often carry the first hint of a gain still in the pipeline, weeks before it shows up in the results, so read those too.

> Often, the results that look best are the ones that deserve the closest look. Sometimes, it may just be a good business with a one-off good quarter dressed up as a trend.

Value the business on what it actually earns. Never apply a valuation multiple to a headline profit number that includes one-time gains. It will make an ordinary business look cheap and an expensive one look reasonable. Apply your multiple to recurring, adjusted earnings, and you get a truer sense of what you are paying for.

What honest management sounds like

None of this means you should distrust every management team or assume every strong quarter is manufactured. Most are not. But it does mean every set of results owes you the same answer: Does the growth come from the business getting better, or from something that will not repeat? An honest management does not wait to be asked. It tells you upfront which part of the profit is durable and which part is a one-off, and it spends more time on what could go wrong than on selling you the upside.

That last part is worth watching closely, especially in companies you already own. Good managers talk about their problems as openly as their wins. If the pain points are missing from the conversation, that itself is information.

The next time a result looks flawless on every line, do not rush to be impressed. Turn to the segmental numbers first. *Sab changa si* is not a fact. It is a claim, and like every claim in investing, it is worth verifying before you believe it. ☑

Illustration: Anand Kumar

Mohammed Ekramul Haque is a Senior Manager at Value Research Stock Advisor

How to (not) use AI for stock investing

AI has made investment research almost free. That is the very reason it must not pick your stocks.

By Vikas Vardhan

You have probably done it. Sometime in the last year, you opened a chatbot, typed some version of 'which stocks should I buy', and a part of you waited for the answer the way you would wait for a tip from a knowledgeable friend. I did it too. The trouble is not that the machine gets things wrong. It is that it sounds just as certain when it is wrong as when it is right.

The five names that told me nothing

Earlier this year I ran a small experiment. I asked Gemini for the top five stocks to buy right now. It offered a polite disclaimer, then named five anyway: ICICI Bank, TCS, Bharti Airtel, SBI and L&T. Fair enough. All fine businesses.

Then I told it I was an aggressive, long-term investor. The list changed on the spot. Out went the steady blue chips, in came Bajaj Finance, Adani Ports, Varun Beverages, TVS Motor and Titan.

Notice what happened there. The names changed because I described myself differently, not because any business had changed. The machine was matching my mood, not weighing companies. A real research process gives you the same verdict on a company whether you call yourself timid or aggressive, because the business is worth what it is worth.

And here is the part that should worry you. Not one of those names arrived with a price.

Take Titan, a company most of us know from the Tanishq showroom in our own city. A wonderful franchise. But when the model served it up as an 'aggressive' buy, it did not mention that Titan was trading at about 75 times its earnings, and it might be expensive. At that price, years of fast growth are already paid for in advance. The model told me what was popular. It said nothing about what I would be paying for it. Popularity and value are not the same thing, and the distance between them is where money is made or lost.

Where AI actually earned its keep

So AI failed at the first door, choosing the idea. It has no business at the last door either, the final yes. But in the long corridor between the two, it did something no human junior could manage overnight.

I gave it 12 quarters of earnings-call transcripts and several years of annual reports for two government-owned energy companies, GAIL and Petronet LNG. I asked for one thing: a ledger of every promise or guidance management made about their move into petrochemicals, whether they met it, how they defended the misses, any shift in tone, and every number, tagged to the quarter it was spoken.

What came back was a running account of two utilities wandering into a business they had little reason to enter. Peter Lynch had a word for this: diworsification,

The promise on record	What the ledger showed later
GAIL: Usar PDH-PP, India's first such plant, would lift petrochemical margins	Commissioning slipped to 'next financial year'; the feedstock plan was later reworked towards ethane
Petronet: A ₹20,685 crore Dahej complex, cleared in 2023, ready in four years	Still being funded in December 2025 through a fresh ₹12,000 crore loan

expansion that makes a company worse rather than better. GAIL, a gas-pipeline company, is building a ₹11,000 crore-plus propane-to-plastic plant at Usar. Petronet, an LNG importer that investors prized as a steady, high-dividend utility, approved a ₹20,685 crore petrochemical complex at Dahej. Both moves arrived as the government pushed state firms to turn India into a petrochemical hub.

The market noticed before I did. Petronet lost its clean 'pure-play utility' tag and de-rated. GAIL's stock remained under pressure despite reporting higher profit, because investors kept circling back to petchem execution risk.

The AI never told me any of this was good or bad. It simply laid 12 quarters of management's own words side by side, so I could watch the promises drift. The judgement stayed with me. That is the honest division of labour.

Information was never the edge

For decades, the small investor's real handicap was access. The fund manager in Mumbai read the annual report; you did not. That gap has almost closed. Anyone can now compress a 200-page report or a two-hour concall into a clean summary in seconds.

But if everyone can get the summary, the summary was never the prize. The edge has moved downstream, to judgment. Is this cheap or dear? Is this management honest? Can I sit still for 10 years? Those are the questions AI cannot answer for you, because it does not carry your goals and it will not feel your losses.

"But the models keep improving," you might say. "Won't they eventually make the call too?" Even a flawless fact-machine cannot own the decision, because it does not own the consequences. When a stock halves, the machine feels nothing. You feel all of it. That is why the last door stays yours.

A simple rule for your desk

Use AI the way a good analyst uses a brilliant junior. Hand over the fetching. Keep the deciding.

The most valuable line in that table is the last one on the left. Most of us fall for a stock first and then go looking only for reasons we are right. AI is a tireless, unflattering way to argue against yourself. Point it at your own idea to attack it, not to bless it.

Illustration: Anand Kumar

Hand it to AI	Keep for yourself
Pull related-party deals, contingent liabilities and auditor notes out of a fat report	Whether those flaws are dealbreakers
Turn a two-hour concall into what management promised and what it dodged	Whether you believe them
Build the bear case: every reason not to buy	The final yes or no

And verify. Every number the machine hands you must be checked against the filing before you trust it. I read that GAIL and Petronet ledger line by line against the actual reports before I believed a word of it. A made-up figure is not a typo. It is misinformation you acted on.

The experiment to try

So here is one for your next exciting idea. Do not ask AI whether to buy the stock. Ask it for the 10 strongest reasons not to. Then watch how you feel as you read them. If you flinch, the machine has just done its most useful work, and the decision, as it should be, is still yours. ☑

Vikas Vardhan is a Senior Analyst and the Product Lead for Value Research Stock Advisor

The plan every family needs

A wealth-building roadmap that doesn't need luck or market timing

By
Advait
Arora

People who retire comfortably are almost never the ones who picked a brilliant stock or timed the market. They simply did the basics well for a long time: monthly SIPs, sensible insurance and staying out of bad debt, for 25 to 30 years.

Most of us never learned this at home. Our parents kept money in FDs, LIC policies and gold, because deposit rates were 10 per cent and the joint family was the safety net. Both are gone. Today we must build our own retirement, and unlike the US, there is no social security cheque waiting for most Indians.

Here is a plan that works for most Indian families, decade by decade. Returns are assumed at around 12 per cent a year, roughly what the Nifty 50 has given over long stretches, though anyone who lived through 2008 or March 2020 knows the ride is never smooth.

Your 20s: Start, even if it feels too small

At 25, you have little money but a lot of time, and time is worth far more than most people realise.

Consider this: put ₹10,000 a month into a Nifty index fund from 25, and at 12 per cent you are looking at roughly ₹6.5 crore by 60. Start the same SIP at 35, and you end up near ₹1.9 crore. The delay quietly cost more than ₹4.5 crore.

What else you need to do in this decade:

- Keep six months of expenses in a liquid fund or sweep-in FD before putting a rupee into equity, since jobs disappear overnight. Run SIPs in a Nifty 50 index fund or flexi-cap fund, starting at ₹3,000 a month and rising with your salary.
- Take term insurance the day someone depends on your income, often your parents. A ₹1 crore cover costs a healthy 25-year-old under ₹1,000 a month; skip endowment or money-back plans.
- Buy your own health policy too, since your employer's cover ends the day you leave.
- Clear credit card dues and personal loans first, since nothing you invest in will reliably beat a 40 per cent card charge. Keep the EPF running, and use a PPF account for the safer part of your money.
- Stay away from F&O trading and tips circulating on WhatsApp, Telegram and YouTube. SEBI's data shows most retail traders lose money in derivatives, and plenty of young people have wiped out two years of savings chasing quick profits. The market rewards patience, not excitement.

Your 30s: The pressure cooker decade

These are probably the hardest 10 years for an Indian household. Marriage, children, a home loan, school fees and ageing parents all arrive at once, which is exactly when most people stop their SIPs, unfortunately, since these mattered most by 60.

By the end of the decade, try to have two to three times your annual income invested across EPF, mutual funds and PPF.

If you buy a house, keep the EMI under 35 per cent of your take-home pay. A house bought on a crushing EMI makes every other goal harder, so renting a few more years is not a failure.

Once children arrive, raise your term cover to 15 to 20 times annual income, take a family floater of ₹15-25 lakh, and a separate health policy for your parents if you can manage it. Start a separate SIP for each child's education too: an engineering or medical seat costing ₹25-30 lakh today could cost ₹75 lakh to a crore in 18 years, and ₹10,000-15,000 a month from birth gets you there.

Write a simple Will, uncomfortable as it is, since

> Most of us never learned how to retire comfortably since our parents kept money in FDs, LIC policies and gold, as deposit rates were 10 per cent. Today, that is gone. And so, we must build our own retirement, and unlike the US, most Indians lack social security.

Illustration: Anand Kumar

siblings have fought for years over assets worth less than the legal fees. Make sure your spouse knows where every account is held; money kept secret between husband and wife has damaged more retirements than any market crash.

Your 40s: Grow without getting complacent

Your income is usually at its highest by now, though so is your spending, which makes this a good decade to tidy things up. A reasonable target is five to six times your annual income invested by 50.

Rebalance once a year, trimming equity back if it grows past 85 per cent of your portfolio. Try not to fall in love with any stock, fund or flat; many families own three properties yet cannot raise ₹5 lakh in cash for an emergency.

Do not stop your equity SIPs out of fear. At 45, you may still have 40 years ahead, and your money has to last through all of them.

Be careful with wedding spending. Using retirement savings for a lavish wedding is a common trap, and the same children this money was meant for often end up supporting their parents at 75, unaware.

Consult a fee-only financial planner at least once this decade.

Your 50s: Strengthen and protect

This decade arrives faster than families expect. One day the children are in college, and suddenly a retirement date is on the calendar. Save with more discipline, since earning years are limited, and protect what you have built from one bad decision.

Push hard on NPS, EPF, VPF and equity SIPs while your income peaks; reaching eight to ten times your annual income invested puts you in good shape.

Try to finish the home loan by 55 or 58, since retirement feels more peaceful once the EMI is behind you. Begin shifting 30 to 40 per cent of your savings into debt funds and PPF, keeping a proper equity portion for what could easily be a 30-year retirement.

Sort out your health insurance before 60, ideally in your early to mid-50s, since premiums climb sharply with every birthday after that.

Your 60s: Enjoy what you built

Divide your corpus into three parts: two to three years of expenses in FDs and liquid funds, the next five to seven years in debt and hybrid funds and the rest in equity to keep growing. A monthly income can come from SWPs on your mutual funds, along with SCSS and RBI floating rate bonds.

Update your Will, complete every nomination, and if the assets are substantial, ask a lawyer whether a family trust would make sense.

And please, spend the money. You did not save for 40 years so it could sit unused in a statement while you hesitated over a holiday.

The honest truth

Very few families hit every milestone on schedule, and that is fine. People who started saving at 40 have still retired comfortably, simply because once they started, they did not stop. Begin wherever you are, automate the SIP, protect your family, and give compounding enough time to work. The rest is mostly patience.

Advait Arora, known famously as 'Wealth Enrich', is an independent investor with over two decades of experience. He also holds a Master's in IT management and an MBA. The views expressed herein are personal and for informational and educational purposes only.

The hidden DCF

Quote a multiple and you have run a cash-flow model

By Ashish Menon

You see a company trading at 55x earnings, and you flinch. Another company is at 15x earnings, and you feel at ease. Both reactions can be in the completely wrong direction and the reason is a number you never see.

When you buy a stake in a cash-generating company, you're running a DCF analysis. It may feel like you're not, when you say you use a P/E or EV/EBITDA multiple, but the multiple never allowed you to escape the DCF. It merely veiled the DCF's underlying assumptions from sight. Oftentimes, it masked them even from you.

It's hardly a niche practice. When analysts were asked about some 2,000 financial professionals, they reported using the PE ratio by a landslide (88 per cent, by their accounts), followed closely by EV/EBITDA, while outright Discounted Cash Flow models rounded out a list that fell far short. Much of the market values companies on multiples, and thus models its cash flow that is never expressed in a spreadsheet.

Two questions reveal this behaviour: If multiples really bypassed the need for forecasting cash flows, why would they embed any assumptions? And why do the same analysts touting multiples reach for one when estimating terminal value for their DCF models, the one input often determining 70 to 80 per cent of the final answer? No, multiples don't bypass cash flows; they smuggle themselves into the valuation.

Comparison complicates the fallacy further: line up a stock against its comparables, declare it cheaply valued and buy it. That decision is relative, however. A company might look cheap in comparison to an expensive peer group while being expensive relative to its own cashflows. Relative value says nothing about whether an entire group has mispriced itself.

Three bets in one number

A P/E is not a fact about a company. It is an opinion built on three forecasts. The first is the cost of capital: the returns one could get on an alternative investment of comparable riskiness.

The second is the rate of growth in after-tax operating profit, also known as NOPAT.

The third is the rate at which free cash flows must be reinvested to purchase that growth rate, otherwise known as the ROIIC or return on the incremental invested capital. Higher is better. Lower means paying to grow. Warren Buffett simplified the whole affair to three questions, lifted from Aesop: How many birds are there in the bush, when do they fly and what's the risk-free rate?

Growth and returns tell you about the number. Years is when. Cost of capital tells you about risk. Every valuation model is asking these three questions, whether or not it's verbally voiced.

All this is based on a single-model framework that one could draw on Excel. In essence, it forecasts the business out for 15 years, assumes the cash flows beyond are then sold in perpetuity, assumes the entire

Two bets, one multiple

What a rupee of earnings is worth at each pairing of growth and returns, cost of capital held at 12 per cent

ROIIC	NOPAT growth: 10%	15%	20%	25%	30%	35%	
10%	6.4	4.3	0.8	-5.1	-14.9	-30.9	Value destruction
15%	10.3	12.4	15.9	21.8	31.5	47.6	
20%	12.3	16.4	23.5	35.2	54.7	86.8	
25%	13.5	18.9	28.0	43.3	68.6	110.4	
30%	14.3	20.5	31.0	48.6	77.9	126.1	
35%	14.8	21.7	33.2	52.5	84.6	137.3	

Warranted P/E at a 12 per cent cost of capital, from a 15-year DCF with perpetuity thereafter and all-equity funding. Floor at no value creation is 8.3. The 10 per cent ROIIC row sits below the cost of capital, where growth destroys value.

business is financed with equity and that free cash is NOPAT minus whatever money is needed to acquire growth. Tweak any one assumption at a time, and watch the multiple change.

The floor you never see

To begin, consider a company that is growing but adds no value. It merely achieves its cost of capital from new investment. Such a company would have a rightful multiple, which is simply the inverse of its cost of capital.

At a cost of capital of say 12 per cent (which represents the returns an investor expects on the market and, therefore, represents the opportunity cost to them), that floor is about 8.3 times earnings.

Let us call this the 'commodity multiple'. It is what you would pay for a rupee of earnings if no value-adding were occurring. Any multiple above is what you're paying for value creation. Any multiple below is the market discounting for value destruction. P/E, when read right, is the distance from the commodity multiple. We assume market-average risk as the discount rate, which is a good proxy.

Growth bends the number

With a 12 per cent cost of capital, I'm using a similar formula to provide the table 'Same number, opposite verdict', which allows the latter two bets to fluctuate. The columns represent ROIIC; the rows represent NOPAT growth, and the intersection shows the relevant fair multiple.

Look across the row for a business earning 25 per cent ROIIC. At 20 per cent growth, it deserves 28x earnings, at 25 per cent, 43x and at 30 per cent, 69x.

Each 5 percentage point increase in growth adds more than the last; the curve is convex and most convex at the fastest end of the growth spectrum.

Yet across those same cells, next year's earnings are almost unchanging. Move growth from 20 to 25 per cent and next year's earnings go up by 4 per cent, whilst the appropriate multiple climbs by over 50 per cent. This is the reason that a market may appear to be over-reacting to a minor earnings adjustment, when it may well have done nothing. In the case where the adjustment has moved the growth trajectory, the change in the multiple is just the maths working properly.

There is an unconscious irony in all of this. Investors are attracted to multiples by virtue of their ability to sweep sensitive DCF valuation adjustments up into a single headline figure which appears much less volatile. But the stability is just a mirage. The sensitivity isn't gone; it's been swept under the carpet.

Same number, opposite verdict

The headline multiple against what the three assumptions actually warrant

Company	Headline P/E	Growth	ROIIC	Warranted P/E
A	18	10% (slowing)	15%	11
B	55	30% (durable)	25%	70

Headline P/E is the traded multiple; warranted P/E is the model's fair multiple on the same 12 per cent cost of capital

Two lookalikes, two values

Now let's scroll down one column, hold the growth steady at 20 per cent and let the return vary. We see that a business with 15 per cent ROIIC should trade about 16 times earnings; one returning 30 per cent should trade at 55 times earnings. With identical growth, the more efficient compounder is worth more than three times the others because of the money it has leftover. Whereas the efficient compounder makes money off of what it spends on growth, the inefficient compounder has to plough most of its profits back into the business just to grow, leaving little behind.

Now consider a 10 per cent ROIIC (below the 12 per cent cost of capital) and go back to the column with 20 per cent growth. Now things run in the opposite direction. At 20 per cent growth the warranted multiple is less than one, and at 25 per cent growth it's actually negative. The faster the business grows, the more cash it consumes. Therefore, a business with high growth but low returns is a growth company that is nothing more than a cash pit.

Illustration: Anand Kumar

ALPHANSO

The rate does the heavy lifting

The table is locked in at a fixed cost of capital. The third bet flexes it, and it flexes a lot more than you might think. A company that can put into action a vast sum of money at very high rates of return, but is being repaid long into the future (in bond parlance it's long-duration), and the long-duration assets are also the most sensitive to the discount rate.

Cut the 12 per cent and the entire surface ripples up, particularly in the rich high-growth, high-return area, because that's where the cash is farthest out, at longer time scales. It can look expensive at a higher discount rate and cheap at a lower discount rate, even if nothing in the business has changed, simply because cash further out becomes more valuable in rupee terms. All investors sense this as a change of sentiment. It is actually math.

The reveal

Combine all three variables and the headline multiplier could be misleading either way.

Company A seems cheap at 18x, but when you look underneath, growth is slowing and ROIIC is marginally ahead of the cost of capital. Considering the facts, the fair multiple is closer to 11x. The supposedly cheap stock is in fact expensive.

Company B, on the other hand, appears frothy at 55x, but persistent 30 per cent growth on 25 per cent ROIIC, modelled across a sufficiently long period, justifies a multiple near 70x. The supposedly expensive stock is in fact cheap.

Nothing here implies that 55x necessarily screams cheap, and 18x screams expensive. A narrower, and perhaps more practically significant, point is worth making. That the headline, 55 or 18, offers close to zero useful information unless it has been examined alongside the three assumptions that hide inside the multiple.

Earn the right to the multiple

All of this doesn't negate the value of multiples, though. It just turns them from an input into an output. It only becomes valid to employ a multiple after you've detailed the three drivers within it and backed them up.

John Burr Williams, writing back in 1938, noticed this was already true. Older valuation methods priced in, implicitly, the same economic forces the newest ones priced in, explicitly. His conclusion still holds up: an argument you make in the open trumps one you make to yourself (and forget). So, next time you deem a company 'cheap at 15' or 'expensive at 55', do the reverse: figure out the implied growth, ROIIC and cost of capital priced in at that multiple, and determine whether or not you agree.

This column is inspired by the writings of Michael Mauboussin, in particular his essays 'Everything Is a DCF Model' and 'The Math of Value and Growth'. ☑

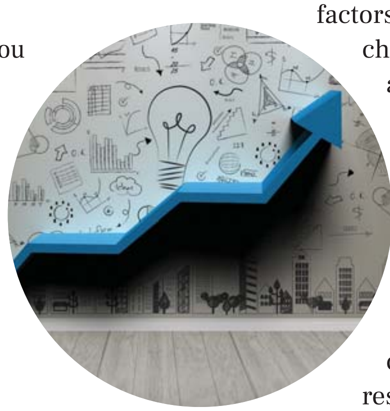
Ashish Menon is a Chartered Accountant (CA), a CFA charterholder and Senior Equity Analyst at Value Research Stock Advisor

High-quality small caps

Using our Stock Ratings tool to find promising small caps high on quality

Tired of spending hours sifting through the vast listed universe? You need a reliable stock screener. It can help you get a list of promising stocks that deserve your attention with just a click of a button. Once you have a manageable list, you only need to research them further to find the ones worth investing in.

Value Research offers several carefully curated stock filters that can pick the most attractive companies from the listed Indian universe. In this issue, we cover the 'High-quality small caps' screen in detail. We have also given a concise list from the other screens. To view all the companies, visit:
www.valueresearchonline.com/stocks-screener/



Good quality small-cap companies

A stock investor's greatest joy is discovering a budding small-cap company and watching it grow into a formidable large cap. However, it is easier said than done. The small-cap arena is like the Roman-era Colosseum – many fight, but only a few survive to tell their tale.

This is where **Value Research Stock Ratings** can be your guide. Our **Stock Ratings** combine multiple metrics spanning quality, growth and valuation factors. For this particular screen, we have chosen small caps that are high in quality and fare moderately on growth and valuation. So, with just three filters, we have created a good starting point for your research.

But don't forget, small-cap investing is not for the faint of heart. It requires considerable groundwork and an appetite for volatility. So, pick companies that you understand and research them in detail. Also, be prepared for the unexpected. You will need perseverance to deal with the frequent drawdowns in your portfolio.

A word of caution

These are not stock recommendations. Please do your due diligence before investing. If you are interested in a list of stocks to invest in, subscribe to **Value Research Stock Advisor.**

Key terms

M-cap
Stands for 'market capitalisation'. Obtained by multiplying the stock price by the total number of shares. Shows a company's market value or size.

Price to earnings (P/E)
The ratio of the stock price and earnings per share (EPS). It shows in multiples how much investors are willing to pay for a share in a company's earnings. Note that a high-growth stock often will have a high P/E ratio, while a value stock will have a relatively lower P/E ratio.

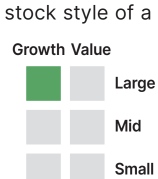
Stock Rating
Value Research Stock Rating combines the four scores (quality, growth, valuation and momentum) based on assigned weights to arrive at a holistic Stock Rating. We have created a five-star rating system. The higher the Stock Rating, the better.

Quality Score
It assesses the quality of a company quantitatively, capturing two crucial aspects, i.e., business efficiency and balance sheet quality. It considers various metrics, such as return on equity, return on capital employed, debt-to-equity ratio, etc. The score is based on the relative ranking of all parameters after assigning certain weights to each. Both current values and historical values drive the ratings. The score is out of 10. The higher the score, the higher the quality.

Valuation Score
It gauges if a stock is reasonably priced. This quantitative rating considers the stock's current and historical valuation parameters based on metrics such as P/E ratio, free cash flow yield, dividend yield, etc. The score is out of 10. The higher the score, the more attractively priced it is.

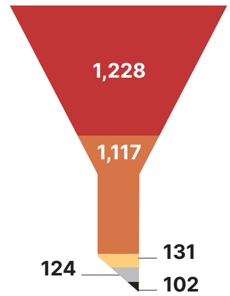
Momentum Score
It represents the market demand for a stock by assessing its historical price trend over six to 12 months. The score is calculated by adjusting the price movement for volatility. A higher score means the price performance has been impressive with relatively lower or digestible volatility.

Stock Style
Derived from a combination of the stock's valuation – growth or value – and its market capitalisation – large, mid and small. For example, here is the stock style of a large-cap growth stock.



Stellar small caps

No. of companies that cleared the filters



Reasons to invest

- High-quality companies
- Chances of high wealth creation
- Moderate to high growth
- Reasonable valuations

The filters

- Small-cap stocks
- Companies with a Stock Rating
- Quality Score more than 8
- Growth score more than 4
- Valuation Score more than 4

High-quality small caps

Company Industry	Stock Style	Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score	P/E	Market cap (₹ cr)	Share price (₹)	52-week high/low (₹)
Bhansali Engineering Plastic Materials		★★★★★	9	7	7	9	15.0	2,990	120	139 - 74
Birlasoft Software & Services		★★★★	9	6	8	2	15.1	8,654	308	474 - 270
Indigo Paints Paints & Varnishes		★★★★★	9	7	5	8	34.0	5,465	1,140	1,346 - 708
INDO SMC Electronic Equipment		★★★★★	9	6	6	10	35.7	1,157	512	521 - 134
Indraprastha Medical Hospitals & Clinics		★★★★	10	7	6	4	18.2	3,418	377	641 - 342
Intellect Design Arena Software		★★★★	9	6	5	4	27.7	9,774	688	1,245 - 595
IST Auto Ancillaries		★★★★	9	6	8	3	4.7	771	661	915 - 518
Jagsonpal Pharma. Branded Medicines		★★★★★	10	6	5	9	33.4	1,520	231	265 - 155
Jeena Sikho Lifecare Alternative Medicine		★★★★★	9	8	6	4	26.6	6,301	504	850 - 492
Jindal Poly Invest. Investment Management		★★★★★	10	6	7	7	1.3	1,058	990	1,488 - 716
Just Dial Online Services		★★★★★	10	6	6	6	11.1	5,569	655	879 - 481
Jyothy Labs Household Products		★★★	10	6	5	1	27.1	7,691	210	353 - 188
Kamdhenu Iron & Steel		★★★★★	10	6	8	10	10.9	936	33	37 - 16
Kaveri Seed Crop Farming		★★★	10	5	5	3	16.0	3,997	774	1,225 - 705

Company Industry	Stock Style	Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score	P/E	Market cap (₹ cr)	Share price (₹)	52-week high/low (₹)
Kovai Medical Hospitals & Clinics		★★★★★	9	7	5	8	25.4	6,520	5,968	6,340 - 5,276
La Opala RG Kitchenware & Appliances		★★★★	10	6	7	3	22.5	2,098	188	266 - 162
Latent View Analytics Software & Services		★★★	9	7	6	2	29.0	5,661	274	518 - 248
Nesco Real Estate Lease		★★★★	10	7	6	3	17.7	7,364	1,038	1,639 - 996
Network People Financial Technology		★★★★★	10	7	5	7	74.3	3,320	1,599	2,388 - 847
Newgen Software IT Services & Consulting		★★★★	9	6	6	5	24.3	7,610	527	1,042 - 401
Nirlon Real Estate Development		★★★★★	10	7	6	10	15.9	5,663	626	657 - 516
Nitta Gelatin India Commodity Chemicals		★★★★★	10	8	6	10	13.9	1,439	1,590	2,087 - 847
Nucleus Software Software		★★★★	10	5	7	1	18.0	1,895	735	1,085 - 682
Pix Transmissions Industrial Services		★★★★★	10	7	5	9	19.0	2,498	1,835	2,089 - 1,252
Pudumjee Paper Paper Products		★★★★★	9	7	7	7	9.2	836	88	148 - 65
Rajoo Engineers Industrial Machinery		★★★★	9	6	7	2	19.0	918	51	110 - 46
Sree Rayalaseema Commodity Chemicals		★★★★★	9	6	8	6	9.0	824	483	640 - 382
Repco Home Finance Housing Finance		★★★★★	10	7	8	5	4.6	2,213	355	456 - 334
Rites Construction & Engineering		★★★★	9	5	7	6	25.4	10,583	219	281 - 175
R Systems IT Services		★★★★	9	7	8	1	14.9	2,868	239	497 - 214
Saksoft IT Services		★★★★★	10	6	7	6	16.7	2,171	164	230 - 108
Sanofi India Branded Medicines		★★★	10	5	6	1	23.4	7,591	3,269	5,291 - 3,054
Sharda Motor Auto Ancillaries		★★★★★	9	7	8	5	16.3	5,402	941	1,190 - 700

Data as of August 19, 2026

END NOTE

Institutional moves

Top companies where mutual funds significantly changed their holdings between March and June 2026

● Mutual fund holding as of June 2026 (%) ● Change (% pts)

Increase in position | Decrease in position

LARGE CAPS

	JSW Infrastructure	Lenskart Solutions	Info Edge (India)	GE Vernova T&D India	Shriram Finance	Wipro
Mutual fund holding as of June 2026 (%)	8.7	12.2	19.2	14.7	13.8	1.8
Change (% pts)	6.6	5.8	3.6	-3.3	-2.5	-2.5

MID CAPS

	Pine Labs	Acme Solar Holdings	Gujarat Energy	RBL Bank	Coforge	Multi Commodity Exchange
Mutual fund holding as of June 2026 (%)	21.3	16.2	16.4	14.3	30.0	30.1
Change (% pts)	12.4	10.9	8.5	-22.5	-10.5	-3.9

SMALL CAPS

	Bosch Home Comfort	JK Lakshmi Cement	Sapphire Foods India	Shivalik Bimetal Controls	Restaurant Brands Asia	Vidya Wires
Mutual fund holding as of June 2026 (%)	6.1	23.3	35.9	9.8	22.2	2.3
Change (% pts)	5.2	5.0	4.5	-7.8	-7.0	-6.7

Market-cap classification as per Value Research. Top 70 per cent of the total market capitalisation are large caps, followed by mid caps holding next 20 per cent and small caps holding the next 9 per cent.